virtualgalaxy™

Virtual Galaxy Infotech Limited
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CIN U93000MH1997PLC110645
GSTIN 27AAACV5098G1Z1

NOTICE OF ANNUAL GENERAL MEETING OF THE COMPANY

NOTICE is hereby given that **Annual General Meeting** of the members of the company will be held on **Tuesday, 24th Day of September, 2024** at the Registered Office of the company 3, Central Excise Colony, Behind Mahatme Eye Bank, Chhatrapati Sq., Ring Road, Nagpur, Maharashtra, India, 440015 At 11:00 A.M, to consider and if thought fit to pass, with or without modifications the following Resolutions as special as the case may be applicable: -

Ordinary Business

1. To receive, consider and adopt:
   a) The Audited Standalone Financial Statements of the Company for the Financial Year ended March 31, 2024 and the report of the Board of Directors and Auditors thereon; and
   b) The Audited Consolidated Financial Statements for the Financial Year ended March 31, 2024 and the report of Auditors thereon;

Special Businesses:

2. To alter Articles of Association of the company:

To consider and if thought fit to pass the proposed resolution as Special Resolution:

"RESOLVED THAT pursuant to section 14 of the Companies Act, 2013 read with Rule 33 of the Companies (Incorporation) Rules, 2014 and any other provisions as may be applicable (including any statutory modifications or re – enactments thereof, for the time being in force), the consent of the members of the Company be and is hereby accorded to append the following words in the below mentioned clauses in the Articles of Association of the Company:

19. The registration of transfer shall not be refused on the ground of the transferor being either alone or jointly with any other person or persons indebted to the Issuer on any account whatsoever

And

80. That there shall be no forfeiture of unclaimed dividends before the claim becomes barred by the applicable laws.

RESOLVED FURTHER THAT the Directors of the Company be and are hereby authorized to do all such acts and deeds and to take all such steps as may be necessary, proper or expedient to give effect to the foregoing resolution."

For and on behalf of
M/s. Virtual Galaxy Infotech Limited

VIRTUAL GALAXY INFOTECH LTD.

Anjali Vinay Padhye
Company Secretary
Membership No. - 23773
Date – 16/09/2024
Place – Nagpur

NOTES:

1. A member is entitled to attend and vote at the meeting is entitled to appoint a proxy to attend and vote instead of himself and such proxy need not be a member of the company.

2. The proxy, in order to be valid, must be deposited at the registered office of the Company not less than 48 hours before the commencement of the meeting.

3. Members/ Proxies are requested to bring the attendance slip duly filled in for attending the meeting and to bring their copies of the Notice to the meeting.

4. Members having any queries with respect to Accounts may communicate the same to the Company well in advance before the meeting.

Explanatory Statement
(Pursuant to Section 102 (1) of the Companies Act 2013)

Item 2. To alter Articles of Association of the company:

Pursuant to the proposed Listing of the company certain clauses needs to be amended to align them with the Articles of Association of the company. The draft of the set of Altered Articles proposed for approval is being circulated along with this notice of the Annual General Meeting and also available for inspection by the shareholders of the Company during business hours at the Registered office of the Company. In terms of Section 14 of the Companies Act, 2013, the consent of the Members by way of special resolution is required for Alteration of Articles of Association of the Company.

The Board of Directors recommend to pass the Resolution No. 02 as a special resolution as contained in the Notice.

None of the directors, KMPs, or their relatives are interested or concerned, financially or otherwise.

For and on behalf of
M/s. Virtual Galaxy Infotech Private Limited

VIRTUAL GALAXY INFOTECH LTD.

_____
Anjali Vinay Padhye
Company Secretary
Membership No. - 23773

Date – 16/09/2024
Place – Nagpur

BOARDS REPORT

TO
THE MEMBERS OF
VIRTUAL GALAXY INFOTECH LIMITED

The Directors of your company are pleased to present the Twenty seventh (27th) Annual Report on the business and operations of the Company along with the Audited Standalone as well as Consolidated Financial statements for the financial year ended 31.03.2024.

Highlights of the Financial year 2023-24 are as follows:

1. FINANCIAL SUMMARY

(in INR)

Particulars	**Standalone**		**Consolidated**	
	FY 2023 -24	**FY 2022-23**	**FY 2023-24**	**FY 2022-23**
Revenue from operations	61,46,39,455	58,48,39,949	63,50,45,143	59,68,03,209
Other income	5,70,306	7,36,544	7,21,241	8,43,621
Total Income	**61,52,09,761**	**58,55,76,493**	**63,57,66,384**	**59,76,46,830**
EBITDA	30,63,56,440	13,19,42,322	31,06,20,455	12,05,68,864
Tax Expenses:				
Current Tax Expenses	6,20,08,478	1,36,42,000	6,20,08,478	1,36,42,000
Deferred Tax Expenses	(1,92,704)	(63,747)	(99,730)	(2,46,785)
Net PAT	**160514184**	**35203161**	**16,39,07,049**	**1,97,69,856**
Diluted EPS	14.59	3.20	14.90	1.80

2. STATE OF COMPANY'S AFFAIRS

The Company and your Directors are continuously looking for avenues for further growth of the Company and are evaluating various areas where it can fetch good returns for the Company by entering into various contracts, assignments and adopting relevant systems, strategies, which will definitely accelerate the growth of the Company and support the Company to achieve its object more efficiently with higher profitability.

During the year under review, your company has recorded a Revenue Earnings of Rs. 61,46,39,455/- reflecting an increase of 5.02% from last year's revenue earnings of Rs. 58,48,39,949/-. Your company has made a profit after tax of Rs. 16,05,14,184/- reflecting an increase of 78.06% from the last year profit after tax of Rs. 3,52,03,161/-.

3. TRANSFER TO RESERVES

During the year under review, the Company has not transferred any amount to Reserves.

4. DIVIDEND

Your directors have not recommended any dividend on equity shares for the year under review to conserve the resources for the future growth of the Company.

5. CHANGE IN THE NATURE OF BUSINESS

During the year under review, there was no change in the nature of the business of the Company.

6. FINANCIAL STATEMENTS

a) PERFORMANCE:

During the year under review, the Company has reported Net Profit of Rs. 16,05,14,184/- (Sixteen Crore Five Lacs Fourteen Thousand One Hundred Eighty-Four Only), against the total income of INR. 61,46,39,455/-. The management has expectations that the company will be able to generate more profits in the coming Financial Year and Directors are hopeful that the company will start reporting more growth in the turnover as well.

b) BUSINESS OUTLOOK:

The Company and your Directors are continuously looking for avenues for further growth of the Company and are evaluating various areas where it can fetch good returns for the company by entering into various contracts, assignments and adopting relevant systems, strategies, which will definitely accelerate the growth of the company and support the company to achieve its object more efficiently with higher profitability.

Your Directors, would also like to update that considering the increasing competition in the market the company has adopted various new technologies which would turn out to be a beneficial move for the company also, the management of the company is confident about reporting better Financial results in the coming Financial years, thereby, maximizing the wealth of Shareholders of the Company by achieving better financial output in the coming years

7. MATERIAL CHANGES AND COMMITMENTS, IF ANY AFFECTING THE FINANCIAL POSITION OF THE COMPANY

There were no material changes and commitments affecting the financial position of the Company which have occurred between the end of the financial year and the date of this report.

8. LISTING

The Board of Directors of the company at their meeting held on 13th September 2024 has given its approval for raising of funds upto Rs.200 Crores through the Initial Public Offering ('IPO') process. The same has been approved by the shareholders at the Extra Ordinary General Meeting held on 14th September 2024.

9. PARTICULARS OF LOANS, GUARANTEES AND INVESTMENT UNDER SECTION 186 OF THE COMPANIES Act, 2013.

Particulars of loans given, security provided, investments made and guarantees given during the year as covered under section 186 of the Companies Act, 2013 ("the Act") form part of the notes to the standalone financial statements of the Company as attached to this annual report.

10. DEPOSITS

Your Company has not accepted any deposits from the public during the year under review, falling within the ambit of Section 73 of the Act, read with the Companies (Acceptance of Deposits) Rules, 2014.

11. DETAILS OF SUBSIDIARY, ASSOCIATES AND JOINT VENTURES

i) Subsidiaries

Virtual Galaxy Insurance Brokers Private Limited is a subsidiary of the company.

Pursuant to Section 129(3) of the Act, read with Rule 5 of the Companies (Accounts) Rules, 2014, a statement containing salient features of the financial statements of Subsidiaries/Associate Companies/Joint Ventures is given in **Form AOC-1** and forms an integral part of this Report.

12. SHARE CAPITAL

Authorized Equity Share Capital :

As on March 31, 2024, the Authorized Share Capital of the Company is Rs. 25,00,00,000/- (Rupees Twenty-Five Crores) divided into 2,50,00,000 (Two Crores Fifty Lakhs) Equity Shares of Rs. 10/- (Rupees Ten) each.

During the year under review, the authorised capital of the company has increased from Rs.15,00,00,000 (Rupees Fifteen Crores) divided into 1,50,00,000 (One Crores Fifty Lakhs) Equity Shares of Rs. 10/- (Rupees Ten) each to Rs. 25,00,00,000/- (Rupees Twenty-Five Crores) divided into 2,50,00,000 (Two Crores Fifty Lakhs) Equity Shares of Rs. 10/- (Rupees Ten) each.

Paid-up Equity Share Capital:

As on March 31, 2024, the Paid-up Equity Share Capital of the Company is Rs. 11,00,01,600/- (Rupees Eleven Crores One Thousand Six Hundred) divided into 1,10,00,160 (One Crore Ten Lakhs One Hundred Sixty) Equity Shares of Rs. 10/- (Rupees Ten) each.

After the end of the Financial year under review, the company has allotted equity shares pursuant to the Meeting of Board of Directors held on 4th May 2024, 27th May 2024 and 03rd June 2024. Pursuant to the said allotments, the total issued and paid-up capital of the Company was Rs.12,19,91,050 (Rupees Twelve Crore Nineteen Lakhs Ninety One Thousand and Fifty) comprising of 1,21,99,105 equity shares of face value of Rs.10/- each fully paid-up.

In June 2024, the Company issued bonus equity shares in the ratio of 1:2, i.e., 1 new equity share for every 2 equity shares held on the record date. Consequently, the paid-up share capital increased from ₹ 12,19,91,050 (Rupees Twelve Crore Nineteen Lakhs Ninety One Thousand and Fifty) to ₹ 18,29,86,350 (Rupees Eighteen Crores Twenty Nine Lakhs Eighty Six Thousand Three Hundred and Fifty).

13. PARTICULARS OF CONTRACT OR ARRANGEMENT WITH RELATED PARTY TRANSACTION

The Company has not entered into any material Related Party Transaction ("RPT") during the financial year 2023-24, except for those disclosed in the financial statements. Accordingly, particulars of related party transactions/arrangements / contracts referred in section 188(1) of the Companies Act 2013 along with the justification for entering into such transactions / arrangements/ contracts in Form AOC-2 does not form part of this report.

14. INTERNAL FINANCIAL CONTROL AND THEIR ADEQUACY

The Company has in place adequate internal financial controls commensurate with nature and size of the business activity and with reference to the financial statements. The controls comprise of policies and procedures for ensuring orderly and efficient conduct of the Company's business, including adherence to its policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records and the timely preparation of reliable financial information.

The Company has satisfactory Internal Control Systems, which are continuously evaluated by professional statutory auditors of repute. The Company continues to improve the present Internal Control Systems by implementation of appropriate policy and processed.

15. DECLARATIONS GIVEN BY INDEPENDENT DIRECTORS

The Company has obtained the required declarations and disclosures from the Independent Directors in accordance with Section 149(7) and Section 184(1) of the Act, confirming their compliance with the independence criteria outlined in Section 149(6) of the Act by disclosing their interest in form MBP-1. All the Directors have certified that the disqualifications mentioned under sections 164, 167 and 169 of the Act do not apply to them.

The Independent Directors have complied with the Code for Independent Directors prescribed in Schedule IV to the Act. The Board of the Company has taken the disclosures on record after verifying the due veracity of the same.

In the opinion of the Board, all the Independent Directors possess the integrity, expertise and experience including the proficiency required to be Independent Directors of the Company, fulfill the conditions of independence as specified in the Act and are independent of the management and have also complied with the Code for Independent Directors as prescribed in Schedule IV of the Act. The Directors and the senior management personnel have affirmed compliance with the Code of Conduct for Directors and Senior Management Personnel.

16. DETAILS OF THE DIRECTORS AND KEY MANAGERIAL PERSONNEL (KMP)

As on the date of this report, the composition of the Board of Directors of the Company:

NAME OF THE DIRECTOR	DIN	Date of Appointment	Designation
Avinash Narayanrao Shende	02179381	12/09/1997	Director
Sachin Purushottam Pande	02181154	12/09/1997	Managing Director
Bhanupriya Nikhil Thakur	08276607	12/06/2024	Independent Woman Director

Ayush Munnalal Sharma	06628387	19/07/2024	Independent Director
Asit Oberoi	09089783	22/08/2024	Non-Executive Director
Jaideep Narayan Pawar	07221800	12/09/2024	Independent Director

As on the date of this report, Mr. Sachin Purushottam Pande (DIN: 02181154) has been appointed as the Managing Director and Chief Technology Officer of the company for a term of 5 years and Mr. Avinash Narayanrao Shende has been appointed as the Chairman of the Board and Chief Financial Officer for a term of 5 years by approval from the Members of the Company at the Extra Ordinary General Meeting held on 14th September 2024.

Key Managerial Personnel (KMP)

As on the date of this report, the following are the Key Managerial Personnel (KMPs) of the Company as per section 2(51)read with Section 203 of the Act:

NAME OF THE KMP	DESIGNATION
Mr. Sachin Purushottam Pande	Managing Director
Mr. Avinash Narayanrao Shende	Chief Financial Officer
Mrs. Anjali Vinay Padhye	Company Secretary

17. BOARD OF DIRECTORS AND ITS MEETINGS

Number of Board Meetings

During the financial year 2023-24, **24 (Twenty Four)** Board meetings were held and the details of the number of directors present along with the dates are mentioned below in the table:

Sr. No	Date of the Board Meetings	Board strength as on the date of the Board Meeting	No. of Directors Present
1.	April 13, 2023	2	2
2.	April 17, 2023	2	2
3.	May 12, 2023	2	2
4.	May 29, 2023	2	2
5.	June 13, 2023	2	2
6.	July 24, 2023	2	2
7.	July 31,2023	2	2

8.	August 02,2023	2	2
9.	August 21,2023	2	2
10.	August 24,2023	2	2
11.	September 20,2023	2	2
12.	September 25,2023	2	2
13.	September 28, 2023	2	2
14.	September 29, 2023	2	2
15.	October 13, 2023	2	2
16.	November 04,2023	2	2
17.	December 01,2023	2	2
18.	December 30, 2023	2	2
19.	January 06, 2024	2	2
20.	February 02, 2024	2	2
21	February 12, 2024	2	2
22.	March 11,2024	2	2
23.	March 20, 2024	2	2
24.	March 27, 2024	2	2

The time gap between two consecutive Board meetings was less than 120 days and a necessary quorum as per the Act.

18. COMMITTEES OF THE BOARD

The Board committees play a crucial role in corporate governance. These committees are responsible for conducting detailed reviews of items under their purview before presenting them to the Board. The Board vide its meeting held on 13th September 2024 has established several statutory committees in accordance with the Act, which include:

- Audit Committee
- Nominations and Remuneration Committee
- Stakeholder's Relationship Committee
- Corporate Social Responsibility Committee

Details of each of the committees are mentioned below:

- **Audit Committee**

In accordance with the requirements of section 177 of the Act, the Board has established a qualified and independent Audit Committee. The committee comprises of 3 (Three) members and the majority of members are Independent Directors. The members of the Audit Committee have relevant experience in financial matters as well as have accounting or related financial management expertise and all of them are financially literate. The Chairman of the Audit Committee is an Independent Director and has expert knowledge in accounts & finance, banking, corporate laws, and governance matters.

The composition of the Audit Committee as on the date of report is as under:

Name of the Director	Designation	Category
Mrs. Bhanupriya Nikhil Thakur	Chairman	Independent Director
Mr. Ayush Munnalal Sharma	Member	Independent Director
Mr. Asit Oberoi	Member	Non-Executive Director

The Company Secretary acts as the Secretary of the Audit Committee.

- **Nominations and Remuneration Committee (NRC)**

The Nomination and Remuneration Committee is responsible for evaluating the balance of skills, experience, independence, diversity and knowledge on the Board and for drawing up selection criteria, ongoing succession planning and appointment procedures for both internal and external appointments.

In accordance with the provisions of Section 179 of the Act, the Company has constituted Nomination and Remuneration Committee (NRC), composition, terms of reference of which are in conformity with the said provisions.

The committee comprises of 3 (Three) members and majority members are Independent Directors.

The composition of NRC as on the date of report is as under:

Name of the Director	Designation	Category
Mr. Ayush Munnalal Sharma	Chairman	Independent Director
Mrs. Bhanupriya Nikhil Thakur	Member	Independent Director
Mr. Asit Oberoi	Member	Non-Executive Director

The Company Secretary acts as the Secretary of the Nomination and Remuneration Committee.

- **Stakeholder's Relationship Committee (SRC)**

In accordance with the provisions of section 178 of the Act, the Company has framed a Stakeholder's Relationship Committee (SRC) that is responsible for handling investor grievances.

The committee is comprised of 3 (Three) members.

The composition of SRC as on the date of the report is as under:

Name of the Director	Designation	Category
Mr. Jaideep Narayan Pawar	Chairman	Independent Director
Mr. Avinash Narayanrao Shende	Member	Executive Director
Mr. Sachin Purushottam Pande	Member	Executive Director

The Company Secretary acts as the Secretary of the Stakeholder's Relationship Committee.

19. COMPLIANCE WITH SECRETARIAL STANDARD

During the period under review, the Company has complied with the Secretarial Standard – 1 and Secretarial Standard – 2 issued by the Institute of Company Secretaries of India.

20. POLICY ON CORPORATE SOCIAL RESPONSIBILITY

As of the financial year ending on March 31, 2024, the Company was not subject to the Corporate Social Responsibility (CSR) as per the provisions of section 135 of the Act.

21. DIRECTOR'S RESPONSIBILITY STATEMENT

In accordance with the provisions of section 134(3)(c) of the Act, the Directors state that:

a) In the preparation of Annual Accounts, the applicable accounting standards had been followed along with a proper explanation of material departures;

b) They had selected and applied such accounting policies consistently and made judgements and estimates that are reasonable and prudent to give a true and fair view of the state of affairs of the Company at the end of the financial year March 31, 2024 and of the profit of the company for that period;

c) They had taken proper and sufficient care for the maintenance of adequate accounting records in accordance with the provisions of the Companies Act, 2013 for safeguarding the assets of the Company and for preventing and detecting fraud and other irregularities;

d) They had prepared the annual accounts on a going concern;

e) They had laid down internal financial controls to be followed by the Company and that such internal financial controls are adequate and are operating effectively; and

f) They had devised a proper system to ensure compliance with the provisions of all applicable laws and that such systems were adequate and operating effectively.

22. CONSERVATION OF ENERGY, TECHNOLOGY ABSORPTION AND FOREIGN EXCHANGE EARNINGS AND OUTGO

As required under Section 134(3)(m) of the Companies Act, 2013, read with the Companies (Accounts) Rules, 2014, information relating to Conservation of Energy, Technology Absorption and Foreign Exchange Earning and Outgo is as follows:

A. Conservation of Energy:

The Company is taking adequate steps on conservation of energy, utilizing alternate sources of energy and capital investment on energy conservation equipment's.

B. Technology Absorption:

There is no technology absorption during the year under review.

C. Foreign Exchange earnings and Outgo:

The foreign exchange earnings and outgo during the year are as under:

Particulars	**FY 2023-24**
Foreign Exchange Earnings in terms of actual inflows	INR 4,49,53,818
Foreign Exchange Outgo in terms of actual outflows	Nil

23. RISK MANAGEMENT POLICY

The Company is exposed to inherent uncertainties owing to the sectors in which it operates. A key factor in determining a Company's capacity to create sustainable value is the risks that the company is willing to take (at strategic and operational levels) and its ability to manage them effectively. Many risks exist in a company's operating environment and they emerge on a regular basis. The Company's Risk Management processes focus on ensuring that these risks are identified on a timely basis and addressed.

The Process of Risk Management include following steps:
1) Risk Identification and Impact Assessment
2) Risk Evaluation
3) Risk Reporting and Disclosures
4) Risk Mitigating and Monitoring

24. ANNUAL RETURN

In compliance with section 92(3) read with section 134(3) of the Act, the annual returns of the Company as on March 31, 2024 is available on the website of the Company at https://vgipl.com/.

25. DISCLOSURE UNDER THE SEXUAL HARASSMENT OF WOMEN AT A WORKPLACE (PREVENTION, PROHIBITION AND REDRESSAL), ACT 2013.

The Company is committed to providing a healthy environment to all employees and thus does not tolerate any sexual harassment at the workplace. The Company has complied with the provisions relating to the constitution of Internal Complaints Committee under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013. During the year under review, the Company has not received any complaints of sexual harassment.

26. FRAUDS REPORTED BY AUDITORS

During the year under review, no frauds were reported by the auditors to the Audit Committee or the Board under Section 143(12) of the Act read with Rule 13 of the Companies (Audit and Auditors) Rules, 2014.

27. AUDITORS

Members of the Company have approved the appointment of M/s R K A S & Co., Chartered Accountants, Nagpur (FRN: 135727W), as the statutory auditors of the company for a consecutive term of five years at the Annual General Meeting held on October 30, 2021 till the conclusion of Annual General Meeting for the financial year 2025-26.

28. STATUTORY AUDITORS' REPORT

The Auditor's Report for the FY 2023-24 on the standalone as well consolidated financial statements of the Company is attached to this Annual Report. The notes on Financial Statements referred to in the Annual Report are self-explanatory and do not call for any further comments. The Auditor's Report does not contain any qualification, reservation or adverse remark.

29. SIGNIFICANT AND MATERIAL ORDERS PASSED BY THE REGULATORS OR COURTS OR TRIBUNAL

During the year there were no significant material orders passed by the Regulators / Courts / Tribunals which would impact the going concern status of the Company and its future operations. Your Board takes this opportunity to thank all its employees for their dedicated service and firm commitment to the goals of the Company. Your Board also wishes to place on record its sincere appreciation for the wholehearted support received from members, clients, bankers and all other business associates. We look forward to continued support of all these partners in progress.

30. DETAILS OF APPLICATION OR PROCEEDINGS PENDING UNDER INSOLVENCY AND BANKRUPTCY CODE 2016:

Neither any application was made, nor any proceeding is pending under the Insolvency and Bankruptcy Code, 2016 against the Company

31. THE DETAILS OF DIFFERENCE BETWEEN AMOUNT OF THE VALUATION DONE AT THE TIME OF ONE TIME SETTLEMENT AND THE VALUATION DONE WHILE TAKING LOAN FROM THE BANKS OR FINANCIAL INSTITUTIONS

During the year under review, there has been no one time settlement of loans taken from Banks and Financial Institutions.

32. ACKNOWLEDGEMENT

Your Board expresses gratitude to all employees for their dedicated service and unwavering commitment to the Company's goals. We also extend our sincere appreciation for the wholehearted support received from members, clients, bankers, and all other stakeholders

For Virtual Galaxy Infotech Limited

VIRTUAL GALAXY INFOTECH LTD

Sachin Purushottam Pande
Managing Director
DIN: 02181154

Avinash Narayanrao Shende
Director and CFO
DIN: 02179381

Date: 16/09/2024
Place: Nagpur

Form AOC-1

Statement containing salient features of the financial statement of Subsidiaries/associate companies/joint ventures (Pursuant to first proviso to sub-section (3) of section 129 read with rule 5 of Companies (Accounts) Rules, 2014)

Name of the subsidiary	M/s Virtual Galaxy Insurance Brokers Private Limited
Reporting period for the subsidiary concerned	April 01, 2024 to March 31, 2024
Share capital	75,00,000.00
Reserves and surplus	23,36,796.00
Total assets	157,26,717.00
Total liabilities	157,26,717.00
Investments	NIL
Turnover	2,04,05,688.00
Profit before tax	34,85,839.00
Provision for taxation	92,974.00
Profit after tax	33,92,865.00
Proposed dividend	NIL
% shareholding	70%

For Virtual Galaxy Infotech Limited

VIRTUAL GALAXY INFOTECH LTD.

Sachin Purushottam Pande
Managing Director
DIN: 02181154

Avinash Narayanrao Shende
Director and CFO
DIN: 02179381

Date : 16/09/2024
Place: Nagpur

VIRTUAL GALAXY INFOTECH PRIVATE LIMITED

NAGPUR

STATUTORY AUDIT REPORT & FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR 2023-24
FOR THE ASSESSMENT YEAR 2024-25

Audited By:

RKAS & CO.

CHARTERED ACCOUNTANTS

INDEPENDENT AUDITOR'S REPORT

To,
The Members of Virtual Galaxy Infotech Private Limited

Report on the Audit of the Standalone Financial Statements

Opinion

We have audited the financial statements of **Virtual Galaxy Infotech Private Limited** ("the Company"), which comprise the balance sheet as at 31st March 2024, and the statement of Profit and Loss, and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information (hereinafter referred to as 'the Financial Statements')

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid financial statements give the information required by the Companies Act, 2013 in the manner so required and give a true and fair view in conformity with accounting principles generally accepted in India, of the state of affairs of the Company as at March 31, 2024 and its Profit and its cash flows for the year ended on that date.

Basis for Opinion

We conducted our audit of the financial statements in accordance with the Standards on Auditing (SAs) specified under section 143(10) of the Companies Act, 2013. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered

Accountants of India together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Companies Act, 2013 and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on the Financial Statements.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Information Other than the Financial Statements and Auditor's Report Thereon

The Company's Board of Directors is responsible for the preparation of the other information. The other information comprises the information included in the Board's Report including Annexures to Board's Report, Business Responsibility Report but does not include the Financial Statements and our auditor's report thereon.

Our opinion on the Financial Statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the Financial Statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the Financial Statements, or our knowledge obtained during the course of our audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information; we are required to report that fact. We have nothing to report in this regard.

Management's Responsibility for the Financial Statements

The Company's Board of Directors is responsible for the matters stated in section 134(5) of the Companies Act, 2013 ("the Act") with respect to the preparation of these Financial Statements that give a true and fair view of the financial position, financial performance, and cash flows of the Company in accordance with the accounting principles generally accepted in India, including the accounting Standards specified under section 133 of the Act. This responsibility

also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Board of Directors is responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Companies Act, 2013, we are also responsible for expressing our opinion on whether the

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company has adequate internal financial controls system in place and the operating effectiveness of such controls.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

Materiality is the magnitude of misstatements in the Financial Statements that, individually or in aggregate, makes it probable that the economic decisions of a reasonably knowledge user of the financial statements may be influenced. We consider quantitative materiality and qualitative factors in planning the scope of our audit work and in evaluating the results of or works and to evaluate the effect of the any identified misstatements in the financial statements.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

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From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

1 As required by the Companies (Auditor's Report) Order, 2020 ("the Order"), issued by the Central Government of India in terms of sub-section (11) of section 143 of the Companies Act, 2013, we give in the "Annexure A", a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.

2 As required by Section 143(3) of the Act, we report that:

a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.

b) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books.

c) The Balance Sheet, the Statement of Profit and Loss, and the Cash Flow Statement dealt with by this Report are in agreement with the books of account

d) In our opinion, the aforesaid Financial Statements comply with the Accounting Standards specified under Section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014.

e) On the basis of the written representations received from the directors as on 31st March, 2024 taken on record by the Board of Directors, none of the directors is disqualified as on 31st March, 2024 from being appointed as a director in terms of Section 164 (2) of the Act.

f) Since the Company's turnover as per latest audited financial statements is more than Rs.50 Crores but its borrowings from banks and financial institutions at any time during the year is less than Rs.25 Crores, the Company is not exempted from getting an audit opinion with respect to the adequacy of the internal financial controls over financial reporting of the company and the operating effectiveness of such controls vide notification dated June 13, 2017; and

g) With respect to the other matters to be included in the Auditors Report in accordance with the requirement of section 197(16) of the Act, as amended:

In our opinion and to the best of our information and according to the explanations given to us, the company has paid remuneration to its director.

h) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:

i. The Company did not have any pending litigation on its financial position in its financial statements.

ii. The Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses.

iii. There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Company.

iv. a) The management has represented that, to the best of its knowledge and belief, as disclosed in note 59 to the financial statements, no funds have been advanced or loaned or invested (either from borrowed funds or securities premium or any other sources or kind of funds) by the Company to or in any person(s) or entity(ies), including foreign entities ('the intermediaries'), with the understanding, whether recorded in writing or otherwise, that the intermediary shall, whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ('the Ultimate Beneficiaries') or provide any guarantee, security or the like on behalf the Ultimate Beneficiaries;

b) The management has represented that, to the best of its knowledge and belief, as disclosed in note 59 to the financial statements, no funds have been received by the Company from any person(s) or entity(ies), including foreign entities ('the Funding parties'), with the understanding, whether recorded in writing or otherwise, that the Company shall, whether directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding party ('Ultimate Beneficiaries') or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries; and

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c) Based on such audit procedures performed as considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the management representations under sub-clauses (a) and (b) above contain any material misstatement.

v. The Company has neither declared nor paid dividend during the year.

vi. On the basis of our examination which included test check, the Company, in respect of financial year commencing from 1st April, 2023, has used an accounting software for maintaining the books of account which has feature of recording audit trial (edit log) facility and the same has been operated throughout the year for all the relevant transactions recorded in the software. Further, during the course of our audit we did not come across any instance of audit trial being tampered.

As proviso to rule 3(1) of the Companies (accounts) rules, 2014 requires all companies which use accounting software for maintaining their books of account, to use such an accounting software which has a feature of audit trail, with effect from the financial year beginning on 1 April 2023 and accordingly, reporting under rule 11(g) of Companies (audit and auditors) rules, 2014 (as amended) on preservation of audit trail as per the statutory requirement for recorded retention is not applicable for the current financial year ended 31st March 2024.

ASHISH SHAHU
Partner
Membership. No. 150960
For and on Behalf of
RKAS & Co
Chartered Accountants
FRN: 135727W
UDIN: 24150960BKHAAX4389
Nagpur Dated the
9th April, 2024

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ANNEXTURE 'A' TO THE INDEPENDENT AUDITOR'S REPORT

The Annexure referred to in the Independent Auditors' Report to the Members of the Company on the Financial Statements for the year ended March 31, 2024, and on the basis of information and explanations sought by us and given by the Company and the books of account and records examined by us in the normal course of audit and to the best of our knowledge and belief, we report that:

1. In respect of the Company's fixed assets:

   a) A) The Company has maintained proper records, showing full particulars, including quantitative details and situation of the fixed Assets.
   B) The company is maintaining proper records showing full particulars of intangible assets.

   b) The Company has a program of verification to cover all the items of fixed assets in a phased manner which, in our opinion, is reasonable having regard to the size of the Company and the nature of its assets. Pursuant to the program, certain fixed assets were physically verified by the Management during the year. According to the information and explanations given to us, no material discrepancies were noticed on such verification.

   c) According to the information and explanations given to us, the records examined by us and based on the examination we report that there are no immovable properties in the name of company, hence this clause is not applicable.

   d) The Company has not revalued its Property, Plant and Equipment or intangible assets during the year. Therefore, the reporting as per paragraph 3(I) (d) of the order is not required.

   e) No proceedings have been initiated or are pending against the Company for holding any benami property under the Benami Transactions (Prohibition) Act, 1988 (45 of 1988) and Rules made thereunder. Accordingly, reporting under clause 3(i)(e) of the Order is not applicable to the Company.

2.

a) We are informed that inventories have been physically verified by the management during the year and also at the end of the year. In our opinion, the frequency of verification is reasonable. In our opinion and according to the explanations given to us, the procedures of physical verification of inventories followed by the Management are reasonable and adequate in relation to the size of the Company and the nature of its business.

b) In our opinion and according to the information and explanations given to us, the Company is maintaining proper records of inventories. The discrepancies noticed on verification between physical stocks and book records were not more than 10% in each class and have been properly dealt with in the books of accounts.

c) The Company has been sanctioned working capital limits of ₹ 4 crore, from Bank of Maharashtra on the basis of the Security of the current assets of the Company. Since the sanctioned limit is not in excess of 5 crores therefore reporting under para 3(ii)(b) of the order is not applicable.

3. During the year, the Company has not made investments, provided any guarantee and security and granted any loans and advances in the nature of loans, secured or unsecured, to companies, firms, Limited Liability Partnerships or any other parties hence clause 3(iii)a to 3(iii)f is not applicable to the company.

4. In our opinion and according to the Information and explanations given to us, the Company has complied with the provision of Section 185 and 186 of the Act, with respect to loans and investments made and securities offered as Lien.

5. In our opinion, and according to the information and explanations given to us, the Company has not accepted any deposits or there is no amount which has been considered as deemed deposit within the meaning of sections 73 to 76 of the Act and the Companies (Acceptance of Deposits) Rules, 2014 (as amended). Accordingly,

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reporting under clause 3(v) of the Order is not applicable to the Company.

6. The maintenance of cost records has not been specified by the Central Government under sub section (1) of section 148 of the Companies Act, 2013 for the business activities carried out by the Company. Hence, reporting under clause (vi) of the order is not applicable to the company.

7. According to the records, information and explanations, provided to us, the Company is generally regular in depositing with appropriate authorities undisputed amounts including ESIC if any, P.F., T.D.S., P.T. and GST and other statutory dues applicable to it and no undisputed amounts payable were outstanding as on 31st March 2024 for a period of more than six months from the date they become payable.

8. According to the information and explanations given to us and the records of the Company examined by us, as at March 31, 2024, there were no such transactions relating to previously unrecorded income that have been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961 (43 of 1961).

9.

a) The Company has not default in repayment of loans or other borrowings or in the payment of interest thereon to any lender.

b) The Company has not been declared willful defaulter by any bank or financial institution or government or any government authority.

c) In our opinion and according to the information and explanations given to us, money raised by way of term loans were applied for the purposes for which these were obtained.

d) Accordingly, to the information and explanation given to us and the procedures performed by us, and on an overall examination of the financial statements of the

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Company, we report that no funds raised on short term basis have been used for long term purposes by the company.

e) According to the information and explanations given to us and on an overall examination of the financial statements of the Company, the Company has not taken any funds from any entity or person on account of or to meet the obligations of its subsidiary. Accordingly, reporting under clause 3(ix)(e) of the Order is not applicable to the Company.

f) According to the information and explanations given to us, the Company has not raised any loans during the year on the pledge of securities held in its subsidiary. Accordingly, reporting under clause 3(ix)(f) of the Order is not applicable to the Company.

10. a) The Company did not raise moneys by way of initial public offer or further public offer (including debt instruments) during the year and hence reporting under clause 3(x)(a) of the Order is not applicable.

b) During the year, the Company has not made any preferential allotment or private placement of shares or convertible debentures (fully or partly or optionally) and hence reporting under clause 3(x)(b) of the Order is not applicable.

11. a) To the best of our knowledge and according to the information and explanations given to us, no fraud by the Company or on the Company has been noticed or reported during the period covered by our audit.

b) No report under Section 143(12) of the Act has been filed with the Central Government for the period covered by our audit.

c) According to the information and explanations given to us including the representation made to us by the Management of the Company, there are no whistle-blower-complaints received by the Company during the year.

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12. The Company is not a Nidhi Company and the Nidhi Rules, 2014 are not applicable to it. Accordingly, reporting under clause 3(xii) of the Order is not applicable to the Company.

13. In our opinion and according to the information and explanations given to us, all transactions entered into by the Company with related parties are in compliance with Sections 177 and 188 of the Act, where applicable. Further, details of such related party transactions have been disclosed in the Standalone Financial Statements, as required under Indian Accounting Standard (Ind AS) 24, Related Party Disclosures specified in Companies (Indian Accounting Standards) Rules 2015 and prescribed under Section 133 of the Act.

14. a) In our opinion and based on our examination, the Company does not have an internal audit system and is not required to have an internal audit system as per the provisions of section 138 of the Companies Act 2013.

    b) Since the Company is not required to have the internal audit system hence the clause 3(xiv)(b) is not applicable to the company.

15. According to the information and explanation given to us, the Company has not entered into any non-cash transactions with its Directors or persons connected with them and accordingly, provisions of Section 192 of the Act are not applicable to the Company.

16. a) The Company is not required to be registered under section 45-IA of the Reserve Bank of India Act, 1934. Hence, reporting under clause 3(xvi)(a) & (b) of the Order is not applicable.

    b) In our opinion, there is no core investment company within the Group (as defined in the Core Investment Companies (Reserve Bank) Directions, 2016) and accordingly reporting under clause 3(xvi)(c) & (d) of the Order is not applicable.

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17. The Company has not incurred any cash loss in the current as well as the immediately preceding financial year.

18. There has been no resignation of the Statutory Auditors during the year. Accordingly, reporting under clause 3(xviii) of the Order is not applicable to the Company.

19. According to the information and explanations given to us and on the basis of the financial ratios, ageing and expected dates of realization of financial assets and payment of financial liabilities, other information accompanying the Standalone Financial Statements, our knowledge of the plans of the Board of Directors and Management, nothing has come to our attention, which causes us to believe that any material uncertainty exists as on the date of the audit report that Company is not capable of meeting its liabilities existing at the date of Balance Sheet as and when they fall due within a period of one year from the Balance Sheet date. We, however, state that this is not an assurance as to the future viability of the Company. We further state that our reporting is based on the facts up to the date of the audit report and we neither give any guarantee nor any assurance that all liabilities falling due within a period of one year from the Balance Sheet date, will get discharged by the Company as and when they fall due.

20. Since the provisions of section 135 of the Company Act, 2013 with regard to corporate social responsibility are not applicable to the company hence clause 3(xx) of the order is not applicable.

21. The reporting under clause 3(xxi) is not applicable in respect of audit of standalone financial statements of the company. Accordingly, no comment has been included in respect of said clause under this report.

ASHISH SHAHU
Partner
Membership. No. 150960
For and on Behalf of
RKAS & Co
Chartered Accountants
FRN: 135727W
UDIN: 24150960BKHAAX4389
Nagpur Dated the
9th April, 2024

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ANNEXURE B" TO THE INDEPENDENT AUDITOR'S REPORT OF EVEN DATE ON THE STANDALONE FINANCIAL STATEMENTS OF VIRTUAL GALAXY INFOTECH PRIVATE LIMITED

Report on the Internal Financial Controls under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ("the Act")

We have audited the internal financial controls over financial reporting of M/s. Virtual Galaxy Infotech Private Limited as of March 31, 2024 in conjunction with our audit of the Standalone financial statements of the Company for the year ended on that date.

Management's Responsibility for Internal Financial Controls

The Company's management is responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India. These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditors' Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls over financial reporting based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the "Guidance Note") and the Standards on Auditing, issued by ICAI and deemed to be prescribed under section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls, both applicable to an audit of Internal Financial Controls and, both issued by the Institute of Chartered Accountants of India. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain

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reasonable assurance about whether adequate internal financial controls over financial reporting was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system over financial reporting and their operating effectiveness. Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the Standalone financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls system over financial reporting.

Meaning of Internal Financial Controls over Financial Reporting

A company's internal financial control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of Standalone financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control over financial reporting includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of Standalone financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the company's assets that could have a material effect on the Standalone financial statements.

Inherent Limitations of Internal Financial Controls over Financial Reporting

Because of the inherent limitations of internal financial controls over financial reporting, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting to future periods are subject to the risk that the internal financial control over financial reporting may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion, the Company has, in all material respects, an adequate internal financial controls system over financial reporting and such internal financial controls over financial reporting were operating effectively as at March 31, 2024, based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India.

ASHISH SHAHU
Partner
Membership. No. 150960
For and on Behalf of
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FRN: 135727W
UDIN: 24150960BKHAAX4389
Nagpur Dated the
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VIRTUAL GALAXY INFOTECH PVT. LTD.
Balance Sheet as on 31st March 2024

PARTICULARS		Note No.	(Fig in ₹) 31st March 2024	(Fig in ₹) 31st March 2023
I.	**EQUITY AND LIABILITIES :**			
1	**SHAREHOLDERS' FUNDS**			
	Share Capital	2.01	11,00,01,600	11,00,01,600
	Reserves and Surplus	2.02	32,56,82,337	16,51,68,153
	Money Received Against Share Warrants		-	-
	Sub-total		**43,56,83,937**	**27,51,69,753**
	Share Application Money Pending Allotment		42,85,010	-
	Minority Interest		-	-
3	**NON-CURRENT LIABILITIES**			
	Long-Term Borrowings	2.03	34,15,25,079	34,05,23,284
	Other Long-Term Liabilities	2.04	7,10,38,574	5,36,39,850
	Long Term Provisions	2.05	51,07,345	-
	Sub-total		**41,76,70,998**	**39,41,63,134**
4	**CURRENT LIABILITIES**			
	Short-Term Borrowings	2.06	4,48,71,390	4,06,04,795
	Trade Payable	2.07	10,74,20,310	9,09,31,503
	Other Current Liabilities	2.08	8,65,10,104	5,71,18,727
	Short-Term Provisions	2.09	6,26,05,258	1,36,42,000
	Sub-total		**30,14,07,062**	**20,22,97,025**
	TOTAL EQUITIES AND LIABILITIES		**1,15,90,47,007**	**87,16,29,912**
II.	**ASSETS:**			
1	**NON-CURRENT ASSETS**			
	Property, Plant & Equipment			
	Tangible Assets	2.10	18,84,46,790	23,69,79,718
	Tangible Asset Under Development - WIP	2.10	30,49,05,997	9,00,23,655
	Intangible Assets	2.10	11,46,31,282	9,47,09,200
	Intangible Asset under Development - WIP	2.10	12,65,48,244	5,01,08,296
	Sub-total		**73,45,32,313**	**47,18,20,869**
	Non Current Investments	2.11	52,50,000	1,52,50,020
	Deferred tax Assets (Net)	2.12	2,56,451	63,747
	Long Term Loans and Advances	2.13	-	-
	Other Non Current Assets	2.14	2,06,14,510	2,13,90,230
	Sub-total		**2,61,20,961**	**3,67,03,997**
2	**CURRENT ASSETS**			
	Current Investments		-	-
	Inventories	2.15	10,76,618	7,39,584
	Trade Receivables	2.16	25,03,62,968	23,27,77,720
	Cash and Cash Equivalents	2.17	2,18,73,162	2,26,03,726
	Short-Term Loans and Advances	2.18	9,76,16,512	9,00,84,795
	Other Current Assets	2.19	2,74,64,473	1,68,99,221
	Sub-total		**39,83,93,733**	**36,31,05,046**
	TOTAL ASSETS		**1,15,90,47,007**	**87,16,29,912**
	Significant Accounting policies	1.00		

The notes referred to above form an integral part of the Financial Statements.
As per our Report Attached of even date.

Ashish Shahu
Partner
Membership No. 150960
For and on behalf of
RKAS & Co.
Chartered Accountants
FRN: 135727W

Nagpur, dated the
9th of April 2024
UDIN: 24150960BKHAAX4389

For VIRTUAL GALAXY INFOTECH PVT. LTD.

A. N. Shende
Director
DIN- 02179381

A. V. Padhye
COMPANY SECRETARY

S. P. Pande
Director
DIN- 02181154

VIRTUAL GALAXY INFOTECH PVT. LTD.
Profit and Loss for the year ended 31st March 2024

	PARTICULARS	Note No.	(Fig in ₹) 31st March 2024	(Fig in ₹) 31st March 2023
I.	Revenue from operations	2.20	61,46,39,455	58,48,39,949
II.	Other income	2.21	5,70,306	7,36,544
III.	Total Income (I + II)		**61,52,09,761**	**58,55,76,493**
IV.	**LESS : EXPENDITURE**			
	Cost of Material Consumed	2.22	20,03,57,331	32,20,98,785
	Changes in inventories of stock-in-trade	2.23	(3,37,034)	(2,84,404)
	Employee benefit expenses	2.24	7,10,30,507	9,77,01,877
	Finance costs	2.25	2,47,58,835	2,67,12,551
	Depreciation and amortization expenses	2.26	5,92,67,647	5,64,48,357
	Other Expenses	2.27	3,78,02,517	3,41,17,913
	Total Expenses		**39,28,79,803**	**53,67,95,079**
V.	Profit before exceptional and extraordinary items and tax		**22,23,29,958**	**4,87,81,414**
VI.	Exceptional items		-	-
VII.	Profit before extraordinary items and tax (V - VI)		**22,23,29,958**	**4,87,81,414**
VIII.	Extraordinary items		-	-
IX.	Profit before tax (VII - VIII)		**22,23,29,958**	**4,87,81,414**
X.	Tax expense :			
	a) Current tax expenses		**6,20,08,478**	**1,36,42,000**
	b) Current tax relating to prior years (net)		-	-
	c) Deferred tax charge/(credit)	2.12	(1,92,704)	(63,747)
	Net tax expenses/(benefit)		6,18,15,774	1,35,78,253
XI.	Profit / (Loss) for the period from continuing operations (IX-X)		**16,05,14,184**	**3,52,03,161**
XII.	Profit / (loss) for the period (XI + XIV)		**16,05,14,184**	**3,52,03,161**
XIII.	Earning per equity share :	2.31	**14.59**	**3.20**

As per our Report Attached of even date.

Ashish Shahu
Partner
Membership No. 150960
For and on behalf of
RKAS & Co.
Chartered Accountants
FRN: 135727W

Nagpur, dated the
9th of April 2024
UDIN: 24150960BKHAAX4389

For VIRTUAL GALAXY INFOTECH PVT. LTD.

A. N. Shende
Director
DIN- 02179381

A. V. Padhye
COMPANY SECRETARY

S. P. Pande
Director
DIN- 02181154

VIRTUAL GALAXY INFOTECH PVT. LTD.
CASH FLOW STATEMENT AS ON 31ST MARCH 2024

Amount in (₹)

Sr.No	Particulars	As at 31st March 2024	As at 31st March 2023
		Amount (Rs.)	Amount (Rs.)
1	**Cash Flow Operating activities**		
	(a) Net Profit/ (Loss) before exceptional items and taxes	22,23,29,958	4,87,81,414
	Adjustments :		
	Depreciation & amortization	5,92,67,647	5,64,48,357
	Interest and Finance costs	2,47,58,835	2,67,12,551
	Interest income	(3,27,654)	(4,39,668)
	(Profit)/Loss on Sale of Fixed Assets	-	-
	Operating Profit before Working Capital changes	**30,60,28,786**	**13,15,02,654**
	(b) Working capital changes :		
	- (Increase)/Decrease in Inventories	(3,37,034)	(2,84,404)
	- (Increase)/Decrease in Trade Receivables	(1,75,85,248)	(12,06,02,679)
	- (Increase)/Decrease in Short Term Loans & Advances	(75,31,717)	(4,18,17,024)
	- Increase/(Decrease) in Trade Payables	1,64,88,807	6,16,12,298
	- Increase/(Decrease) in Other Current Liabilities	2,93,91,377	(37,16,905)
	- (Increase)/Decrease in Other Current Assets	(1,05,65,252)	(7,12,392)
	- Increase/(Decrease) in Long Term Liabilities	-	6,17,30,497
	- Increase/(Decrease) in Other Long Term Liabilities	1,73,98,724	5,27,74,490
	- Increase/(Decrease) in Short Term Borrowings	42,66,595	(6,31,28,913)
	- Increase/(Decrease) in Short Term Provisions	4,89,63,258	1,03,39,501
	- Increase/(Decrease) in Long Term Provisions	51,07,345	-
	Net cash from Operating Activities	**39,16,25,641**	**8,76,97,123**
	Less: Tax Paid	(6,20,08,478)	1,36,42,000
	Net cash from Operating Activities	**32,96,17,163**	**10,13,39,123**
2	**Cash Flow from Investing Activities**		
	(a) Increase in Fixed Assets	(32,19,79,091)	(8,82,11,791)
	(b) (Increase)/Decrease in Other Non-current assets	7,75,720	(62,60,660)
	(c) (Increase)/Decrease in Other Non-current Investments	1,00,00,020	-
	(d) Interest Received	3,27,654	4,39,668
	(e) Sale Consideration for Assets Sold	-	-
	Net cash from Investing Activities	**(31,08,75,697)**	**(9,40,32,783)**
3	**Cash Flow from Financing Activities**		
	(a) Increase/(Decrease) in Long Term Borrowings	10,01,795	-
	(b) Increase/(Decrease) in Share Application Money Pending Allotment	42,85,010	-
	(c) Interest and other Finance costs	(2,47,58,835)	(2,67,12,551)
	Net cash from Financing Activities	**(1,94,72,030)**	**-**
	Net increase/(decrease) in cash and cash equivalents	**(7,30,564)**	**73,06,340**
	Add : Cash and cash equivalents at the beginning of the period	2,26,03,726	1,52,97,386
	Cash and cash equivalents at the end of the period	**2,18,73,162**	**2,26,03,726**

NOTES

1 . The above statement has been prepared following Indirect Method as per AS - 3.
2 . Proceeds of long term and other borrowings are shown net of repayments.
3 . Cash and Cash Equivalents represent Cash, Fixed deposits and Bank Balances only.

Ashish Shahu
Partner
Membership No. 150960
For and on behalf of
RKAS & Co.
Chartered Accountants
FRN: 135727W

Nagpur, dated the
9th of April 2024
UDIN: 24150960BKHAAX4389

RKAS & CO. CHARTERED ACCOUNTANTS

Virtual Galaxy Infotech Pvt. Ltd.

For VIRTUAL GALAXY INFOTECH PVT. LTD.

A. N. Shende
Director
DIN- 02179381

A. V. Padhye
COMPANY SECRETARY

S. P. Pande
Director
DIN- 02181154

VIRTUAL GALAXY INFOTECH PVT. LTD.

NOTE "1"- SIGNIFICANT ACCOUNTING POLICIES

1. Company over view:

Virtual Galaxy Infotech Pvt. Ltd. was incorporated on 12th September 1997. The company operates global organization possessing an experienced and dedicated team of dynamic professionals, capable of offering innovative, high-quality software products, solutions & specialized software services, in the domain of Banking & Finance, ERP, E-Governance, Web Service, Cloud Computing, Data Management & System Integration.

Basis of Preparation of Financial Statements:

The Financial Statements are prepared on an accrual basis of accounting and in accordance with the Generally Accepted Accounting Principles in India. These financial statements have been prepared to comply in all material aspects with the accounting standards notified under section 133 read with rule 7 of the Companies (Accounts) Rules, 2014 and the other relevant provisions of the Company's Act, 2013.

All assets and liabilities have been classified as current or non-current as per the Company's normal operating cycle and other criteria set out in the Schedule III to the Company's Act, 2013 based on the nature of the products and the time between the acquisition of assets for processing and their realization of cash and cash equivalents.

Accounting policies have been consistently applied except where a newly issued accounting standard is initially adopted or a revision to an existing accounting standard requires change in the accounting policy hitherto in use.

Use of Estimates

The preparation of financial statements require estimates and assumptions to be made that affect the reported balances of assets as on the date of the financial statements and the reported amount of revenues and expenses during the reporting period. Accounting estimates could change from period to period. Actual results could differ from these estimates.

The following significant accounting policies are adopted in preparation of these financial statements -

R K A S & CO. CHARTERED ACCOUNTANTS

VIRTUAL GALAXY INFOTECH PVT. LTD.

A. Property, Plant & Equipment

Tangible assets are shown under gross block are valued at cost of acquisition inclusive of inward freight, duties, taxes and other incidental expenses related to its acquisition. All such direct costs are capitalized when the tangible assets are ready to use.

B. Depreciation

Depreciation on all tangible assets is provided on Written down value Method in accordance with Schedule II of the Companies Act, 2013. Management has not charged the depreciation to the Software Development, since it is developing stage.

C. Impairment of Assets

An asset is treated as impaired when the carrying cost of assets exceeds its recoverable value. An impairment loss is charged to Statement of Profit & Loss in the year in which an asset is identified as impaired. The impairment loss recognized in prior accounting period is reversed if there has been change in the estimate of recoverable amount.

D. Inventory Valuation

Inventories are valued at lower of cost or net realizable value, whichever is lower. Inventories are valued at FIFO basis and includes all purchase related expenses.

E. Revenue Recognition

a. Sales are recognized when goods are supplied and are recorded net of discounts. Sales values are presented net of Goods and Service tax in the statement of profit and loss account.
b. Income from other receipts are recognized on completion and on acceptance by the customers.
c. Interest income is recognized using proportion method, based on rates implicit in the transactions.

F. Income from Investments

Current investments are carried at lower of cost and Quoted/Fair value, computed category wise. Long-Term Investments are stated at cost. Provision for diminution in the value of Long-term Investments is made only if such a decline is other than temporary.

G. Taxes on Income – Current and Deferred

Income Taxes are accounted for in accordance with Accounting Standard 22 on "Accounting for Taxes on Income", (AS 22) issued by The Institute of Chartered Accountants of India. Tax expense comprises both current tax and deferred tax. Current tax is measured at the amount expected to be paid or recovered from the tax authorities using the applicable tax rates. Deferred tax assets and liabilities are recognized for future tax consequence attributable to timing difference between taxable income and accounting income that are measure at relevant enacted tax rates. At each Balance sheet date the company reassesses unrealized deferred tax assets, to the extent they become reasonably certain or virtually certain of realization, as the case may be.

H. Retirement Benefits

Gratuity and all the other retirement benefits is accounted for on accrual basis. Company's contribution to provident fund and other fund is charges to Profit and Loss account. PFs are treated as defined contribution plans. PF Contribution is made to the Regional Provident Fund Commissioner.

I. Provisions and Contingencies

a. Provisions involving substantial degree of estimation in measurement are recognized when there is a present obligation as a result of past events and it is probable that there will be an outflow of resources.
b. Contingent liabilities are not recognized but are disclosed in the Notes when there is a possible obligation or a present obligation that probably will not require an outflow of resources or where a reliable estimate of the obligation cannot be made.

c. Contingent assets are neither recognized nor disclosed in the financial statements.

J. Foreign currency transactions and translations

Transactions in foreign currencies entered into by the Company are accounted at the exchange rates prevailing on the date of the transaction or at rates that closely approximate the rate at the date of the transaction. Monetary assets and liabilities denominated in foreign currency are restated at the exchange rate prevalent on the Balance Sheet date and gain/ loss on such restatement is charged to the Statement of Profit and Loss.

K. Borrowing Costs

Borrowing costs that are attributable to the acquisition or construction of qualifying assets are capitalized as part of the cost of such assets. A qualifying asset is one that necessarily takes a substantial period of time to get ready for its intended use or sale. All other borrowing costs are charged to revenue.

L. Earnings per Share

Basic earnings per share is computed by dividing the profit / (loss) after tax (including the post-tax effect of extraordinary items, if any) by the weighted average number of equity shares outstanding during the year.

M. Cash and cash equivalents (for purposes of Cash flow statement)

Cash comprises cash on hand and demand deposits with banks. Cash equivalents are short-term balances, highly liquid investments that are readily convertible into known amounts of cash and which are subject to insignificant risk of changes in value.

N. Cash Flow Statements

Cash flows are reported using the indirect method, whereby profit before tax is adjusted for the effects of transactions of non-cash nature, any deferrals or accruals of the past or the future operating cash receipts or payments and item of income or expenses associated with investing or financing cash flows. Cash flow from operating, Investing and Financing activities of the company are segregated accordingly.

Note 2: Notes on accounts as per revised schedule VI

SHARE HOLDERS FUND

The Company has only one class of shares, referred to as equity shares having a par value of ₹ 10/- per share Each holder of equity shares is entitled to one vote per share. The right of the shareholders is governed by the Articles and Association and the Companies Act.

2.01 SHARE CAPITAL

A.

PARTICULARS	31st March 2024	31st March 2023
AUTHORISED CAPITAL :		
2,50,00,000 Equity Shares of ₹ 10/- each	25,00,00,000	15,00,00,000
ISSUED, SUBSCRIBED & PAID UP CAPITAL :		
1,10,00,160 Equity Shares of ₹ 10/- each	11,00,01,600	11,00,01,600
	11,00,01,600	**11,00,01,600**

B Details of Share Holding of more than 5% shares are set out below

Name of shareholder	No. of share held	No. of share held
Avinash N. Shende	51,00,000	51,00,000
% of Share holding	46.36%	46.36%
Sachin P. Pande	51,00,000	51,00,000
% of Share holding	46.36%	46.36%

Note No. 2.1 (a) The Reconciliation of the No. of Shares outstanding at the beginning and at the end of the period

Particulars	Figures as at the end of the current reporting period	Figures as at the end of the previous reporting period
Equity Shares:		
Shares outstanding at the beginning of the year	1,10,00,160.00	1,10,00,160.00
Shares Issued during the year	-	-
Shares bought back during the year	-	-
Shares outstanding at the end of the year	1,10,00,160.00	1,10,00,160.00

Note No. 2.1 (b) The share holding of the Promoters

Name of shareholder	No. of share held	No. of share held
Avinash N. Shende	51,00,000	51,00,000
% of Share holding	46.36%	46.36%
% Change during the year	0.00%	0.00%
Sachin P. Pande	51,00,000	51,00,000
% of Share holding	46.36%	46.36%
% Change during the year	0.00%	0.00%

2.02 RESERVES AND SURPLUS

PARTICULARS	31st March 2024	31st March 2023
Retained Earnings		
Opening Balance	16,51,68,153	12,99,64,992
Add: Profit for the year	16,05,14,184	3,52,03,161
Less: Transfer to reserve, if any	-	-
Closing Balance	**32,56,82,337**	**16,51,68,153**
Total	**32,56,82,337**	**16,51,68,153**

RKAS & CO. CHARTERED ACCOUNTANTS

2.03 LONG TERM BORROWINGS

PARTICULARS	31st March 2024	31st March 2023
Secured		
Term Loans		
From Banks	12,20,80,370	12,65,41,190
Loans From Related Parties	1,42,54,203	1,06,00,000
Other Loans and Advances Payable	15,06,86,790	13,92,31,485
Unsecured		
Term Loans		
From Banks - Unsecured	8,48,965	29,88,080
From Other Parties - Unsecured	5,36,54,751	6,11,62,529
Total	**34,15,25,079**	**34,05,23,284**

Details of Long Terms Loans from Bank availed by company are stated as under:
Long term loans are from Bank of Maharashtra, Shankar Nagar Nagpur, Branch are secured by way of Property Held by Both Directors of the Company and Hypothecation of all fixed asset as appering in the balance sheet of the company.

2.04 OTHER LONG TERM LIABILITIES:

PARTICULARS	31st March 2024	31st March 2023
Creditors for Fixed Assets*	7,10,38,574	5,36,39,850
Total	**7,10,38,574**	**5,36,39,850**

*** Creditor for fixed asset contains amounts payable to parties for Software developments.**

2.05 LONG TERM PROVISIONS:

PARTICULARS	31st March 2024	31st March 2023
Provision for Employee Benefits	51,07,345	-
Total	**51,07,345**	**-**

2.06 SHORT TERM BORROWINGS:

PARTICULARS	31st March 2024	31st March 2023
Secured		
Loan Payable on Demand		
From Banks - Short Terrm	4,36,21,390	3,93,54,795
From Other Parties - Short Term	12,50,000	12,50,000
From Related Parties - Short Term	-	-
Total	**4,48,71,390**	**4,06,04,795**

Details of Cash Credit (Secured- Short Term) availed from bank.
1)Working capital loan is availed from Bank of Maharashtra, Shankar Nagar Nagpur Branch of ₹ 4 crores secured against the Hypothecation of Stocks and Receivables and collaterally secured by way of equitable mortgage on the properties held by both the directors of the company.
2) OD facility availed from Pusad Urban Credit Co-opertaive Bank, secured against Fixed Deposit.

2.07 TRADE PAYABLES

PARTICULARS	31st March 2024	31st March 2023
Trade Payable - MSME	-	-
Trade Payable - Others	10,74,20,310	9,09,31,503
Trade Payable - Disputed MSME	-	-
Trade Payable - Disputed Other	-	-
Total	**10,74,20,310**	**9,09,31,503**

2.08 OTHER CURRENT LIABILITIES:

PARTICULARS	31st March 2024	31st March 2023
Interest accrued and due	1,08,000	16,077
Statutory Dues Payable	3,75,52,113	2,56,72,089
Advance from Customer	1,68,79,761	1,05,64,919
Audit Fees Payable	1,50,000	-
Rent Payable	1,41,259	1,26,259
Employees Payable	3,16,78,971	2,07,39,383
	8,65,10,104	**5,71,18,727**

2.09 SHORT TERM PROVISIONS:

PARTICULARS	31st March 2024	31st March 2023
Provision for Employee Benefits - Short Term	5,96,780	-
Provision for Taxation	6,20,08,478	1,36,42,000
Total	**6,26,05,258**	**1,36,42,000**

2.11 NON CURRENT INVESTMENTS

PARTICULARS	31st March 2024	31st March 2023
Investments in Equity Instruments	52,50,000	1,52,50,020
Total	**52,50,000**	**1,52,50,020**

2.12 DEFERRED TAX LIABILITY / (ASSETS)

PARTICULARS	31st March 2024	31st March 2023
Deferred Tax Asset / Liability		
Depreciation as per Companies Act	5,92,67,647	5,64,48,357
Depreciation as per Income Tax Act	5,84,96,830	5,61,93,369
Difference in WDV	7,70,817	2,54,988
Deffered Tax Asset / Liability	**1,92,704**	**63,747**
Expenses of Current Year Disallowed as per IT	-	-
Total DTL	**-**	**-**
Expenses of Prior Period allowed in Current Year as per IT	-	-
	-	**-**
Deffered Tax Asset / (Liability)	**1,92,704**	**63,747**
Net Deferred Tax Liability (DTL) at the beginning of the year	63,747	-
Net Deferred Tax Liability (DTL) Charged/(reversed) to Statement of profit and loss	1,92,704	63,747
Net Deferred Tax (Asset)/Liability as at Balance Sheet date	**2,56,451**	**63,747**

RKAS & CO. CHARTERED ACCOUNTANTS

VIRTUAL GALAXY INFOTECH PVT. LTD.
Financial Statements as at 31st March 2024

NOTE 2.10 - PROPERTY PLANT AND EQUIPMENTS

Tangible Assets

(Fig in ₹)

Particulars	GROSS BLOCK (AT COST)				ACCUMULATED DEPRECIATION				NET BLOCK	
	As on 1st April 2023	Additions for the year	Deductions during the year	As on 31st March 2024	As on 1st April 2023	Additions for the year	Deductions during the year	As on 31st March 2024	As on 31st March 2024	As on 31st March 2023
Property Plant And Equipments										
Land	-	-	-	-	-	-	-	-	-	-
Land and Buildings	-	-	-	-	-	-	-	-	-	-
Machinery	45,61,93,288	-	-	45,61,93,288	21,94,04,327	4,84,94,507	-	26,78,98,834	18,82,94,454	23,67,88,961
Motor Vehicles	55,649	-	-	55,649	55,649	-	-	55,649	-	-
Furnitures and Fixtures	27,61,222	-	-	27,61,222	26,66,938	25,555	-	26,92,493	68,729	94,284
Office Equipments	8,73,334	-	-	8,73,334	7,76,861	12,866	-	7,89,727	83,607	96,473
Capital Work In-Progress	9,00,23,655	-	-	9,00,23,655	-	-	-	-	30,49,05,997	9,00,23,655
TOTAL	**54,99,07,148**	**-**	**-**	**54,99,07,148**	**22,29,03,775**	**4,85,32,928**	**-**	**27,14,36,703**	**49,33,52,787**	**32,70,03,373**
Previous Year		**-**	**-**							

Intangible Assets

Particulars	GROSS BLOCK (AT COST)				ACCUMULATED DEPRECIATION				NET BLOCK	
	As on 1st April 2023	Additions for the year	Deductions during the year	As on 31st March 2024	As on 1st April 2023	Additions for the year	Deductions during the year	As on 31st March 2024	As on 31st March 2024	As on 31st March 2023
Banking & ERP Software	18,09,66,403	3,06,56,802	-	21,16,23,205	8,62,57,203	1,07,34,720	-	9,69,91,923	11,46,31,282	9,47,09,200
TOTAL	**18,09,66,403**	**3,06,56,802**	**-**	**21,16,23,205**	**8,62,57,203**	**1,07,34,720**	**-**	**9,69,91,923**	**11,46,31,282**	**9,47,09,200**
Previous Year		**-**	**-**							

Intangible Assets Under Development

Particulars	GROSS BLOCK (AT COST)				ACCUMULATED DEPRECIATION				NET BLOCK	
	As on 1st April 2023	Additions for the year	Deductions during the year	As on 31st March 2024	As on 1st April 2023	Additions for the year	Deductions during the year	As on 31st March 2024	As on 31st March 2024	As on 31st March 2023
Software Under Development	5,01,08,296	-	-	5,01,08,296	-	-	-	-	12,65,48,244	5,01,08,296
TOTAL	**5,01,08,296**	**-**	**-**	**5,01,08,296**	**-**	**-**	**-**	**-**	**12,65,48,244**	**5,01,08,296**
Previous Year		**-**	**-**							

TOTAL	**78,09,81,847**	**3,06,56,802**	**-**	**81,16,38,649**	**30,91,60,978**	**5,92,67,648**	**-**	**36,84,28,626**	**73,45,32,313**	**47,18,20,869**
Previous Year	**69,27,70,057**	**7,83,13,535**	**-**	**78,09,81,847**	**25,27,12,620**	**5,64,48,358**	**-**	**30,91,60,978**	**47,18,20,869**	**44,00,57,437**

2.13 LONG TERM LOANS AND ADVANCES

PARTICULARS	31st March 2024	31st March 2023
Unsecured, considered good		
Loans and Advances to Related Parties	-	-
Loans and Advances from Others	-	-
Total	**-**	**-**

2.14 OTHER NON-CURRENT ASSETS

PARTICULARS	31st March 2024	31st March 2023
Security Deposits	2,06,14,510	2,13,90,230
Total	**2,06,14,510**	**2,13,90,230**

2.15 INVENTORIES :

PARTICULARS	31st March 2024	31st March 2023
Finished Goods	10,76,618	7,39,584
Total	**10,76,618**	**7,39,584**

2.16 TRADE RECEIVABLES:

PARTICULARS	31st March 2024	31st March 2023
Trade Receivables outstanding for a period exceeding six months from the date they were due for payment		
Unsecured : Considered Good More than 6 Months	2,16,68,581	1,24,11,332
Other trade receivables		
Unsecured : Considered Good Less than 6 Months	22,86,94,387	22,03,66,388
Total	**25,03,62,968**	**23,27,77,720**

2.17 CASH AND CASH EQUIVALENTS:

PARTICULARS	31st March 2024	31st March 2023
Cash In Hand	12,477	27,553
With Banks in Current Accounts	2,43,834	38,99,143
Bank deposits Maturity More than 12 Months	2,16,16,851	1,86,77,030
Total	**2,18,73,162**	**2,26,03,726**

2.18 SHORT TERM LOANS AND ADVANCES:

PARTICULARS	31st March 2024	31st March 2023
Unsecured Considered Good		
Others		
Advance to Creditors	2,77,17,390	98,97,560
Employee Advances	1,19,40,068	68,80,528
Loans and Advances to Related Parties	-	7,33,06,707
Loans and Advances from Others	5,79,59,054	-
Total	**9,76,16,512**	**9,00,84,795**

2.19 OTHER CURRENT ASSETS:

PARTICULARS	31st March 2024	31st March 2023
Balance With Statutory Authorities	2,74,64,473	1,68,99,221
Total	**2,74,64,473**	**1,68,99,221**

2.20 REVENUE FROM OPERATIONS:

PARTICULARS	31st March 2024	31st March 2023
Sales of Goods and Services	56,96,85,637	47,67,00,517
Export Revenue	4,49,53,818	10,81,39,432
Total	**61,46,39,455**	**58,48,39,949**

2.21 OTHER INCOME :

PARTICULARS	31st March 2024	31st March 2023
Other Income	-	2,96,876
Interest Received	3,27,654	4,39,668
Profit on Sale of Shares	33,600	-
Foreign Exchange Gain / Loss	2,09,052	-
Total	**5,70,306**	**7,36,544**

2.22 COST OF MATERIAL CONSUMED

PARTICULARS	31st March 2024	31st March 2023
Material Consumed		
Opening Stock Material	-	-
Purchase Of Material	20,03,57,331	32,20,98,785
Closing Stock Of Material	-	-
Total	**20,03,57,331**	**32,20,98,785**

2.23 CHANGES IN INVENTORIES OF STOCK IN TRADE:

PARTICULARS	31st March 2024	31st March 2023
Closing Stock at the end of the year	10,76,618	7,39,584
Less : Opening Stock at the beginning of the year	7,39,584	4,55,180
Total	**(3,37,034)**	**(2,84,404)**

2.24 EMPLOYEE BENEFITS EXPENSES :

PARTICULARS	31st March 2024	31st March 2023
Salaries,allowances and other benefits	6,33,73,560	9,44,46,176
Contribution to Provident and other Funds	76,56,947	32,55,701
Total	**7,10,30,507**	**9,77,01,877**

2.25 FINANCE COSTS:

PARTICULARS	31st March 2024	31st March 2023
Finance Cost	2,16,87,122	2,15,51,685
Other Borrowing Cost	30,71,713	51,60,866
Total	**2,47,58,835**	**2,67,12,551**

RKAS & CO. CHARTERED ACCOUNTANTS

2.26 DEPRECIATION AND AMORTISATION

PARTICULARS	31st March 2024	31st March 2023
Depreciations	5,92,67,647	5,64,48,357
Amortisations	-	-
Total	**5,92,67,647**	**5,64,48,357**

2.27 OTHER EXPENSES:

PARTICULARS	31st March 2024	31st March 2023
Direct Expenses		
ATM Service Charges	12,36,572	15,01,496
Data Entry Charges	14,50,000	-
Domain Renewal Client	72,839	-
Technical Charges Paid	87,11,225	3,42,886
Site Development Expenses	6,29,080	32,44,250
SMS Services	16,09,615	-
Total	1,37,09,331	50,88,632
Indirect Expenses		
Business Promotion Expenses	12,34,023	65,41,282
Electricity Exp.	28,74,531	32,12,672
Indirect Taxes	3,58,112	-
Insurance Expenses	25,590	-
Internet Expenses	29,42,114	-
Legal & Professional Charges	42,84,500	21,40,255
Licence and Certifications	1,62,780	-
Office Expenses	23,82,672	18,92,396
Postage & Courier	4,14,064	3,66,826
Printing and Stationery	76,944	2,00,457
Penalties and Charges	-	13,40,357
Rent Expenses	9,06,000	4,01,000
Repair & Maintenance Expenses.	2,13,522	9,89,858
ROC and Secretarial Expenses	1,60,800	3,62,000
Security Service Charges	43,896	1,30,696
Telephone Exp	-	31,00,752
Travelling & Conveyance Exp	78,14,101	76,58,059
Transportation Expenses	49,537	5,77,051
Auditor Remuneration		
a) Audit Fees	1,50,000	1,15,620
b) Taxation Matters	-	-
c) Company Law Matters	-	-
	2,40,93,186	2,90,29,281
Total	**3,78,02,517**	**3,41,17,913**

2.28 PAYMENT TO AUDITORS

PARTICULARS	31st March 2024	31st March 2023
Statutory Audit	1,50,000	1,00,000
Total	**1,50,000**	**1,00,000**

RKAS & CO. CHARTERED ACCOUNTANTS

VIRTUAL GALAXY INFOTECH PVT. LTD.

NOTE "2"- NOTES TO ACCOUNTS

Additional Disclosures

2.29 Contingent liabilities and commitments (to the extent not provided for)

Particulars	As on March 31st, 2024	As on March 31st, 2023
Contingent liabilities and commitments	Nil	Nil

2.30 Disclosures required under Section 22 of the Micro, Small and Medium Enterprises Development Act, 2006

Particulars	As on March 31st, 2024		As on March 31st, 2023	
	Principle	Interest	Principle	Interest
Principal amount remaining unpaid to any supplier as at the end of the accounting year;	Nil	Nil	Nil	Nil
Interest due thereon remaining unpaid to any supplier as at the end of the accounting year;	Nil	Nil	Nil	Nil
The amount of interest paid along with the amounts of the payment made to the supplier beyond the appointed day;	Nil	Nil	Nil	Nil
The amount of further interest due and payable even in the succeeding year, until such date when the interest dues as above are actually paid.	Nil	Nil	Nil	Nil

(Note: The Company has not received any information from its vendors regarding their status under Micro, Small and Medium Enterprises Development Act, 2006. Nonetheless, there are no amounts for a period beyond the stipulated period as specified under Micro, Small and Medium Enterprises Act, 06.)

RKAS & CO. CHARTERED ACCOUNTANTS

2.31 Earnings per share (EPS)

Earnings per share is calculated in accordance with Accounting Standard 20 – "Earnings per share", notified by the Companies (Accounting Standards) Rules, 2006.

Particulars	As on March 31st, 2024	As on March 31st, 2023
Profit available for share holders	16,05,14,184	3,52,03,161
Weighted average no. of equity shares – Basic	1,10,00,160	1,10,00,160
Weighted average no. of equity shares – Diluted	-	-
Earnings per share – Basic	**14.59**	**3.20**

2.32 Related party disclosure

A. Name the related party and nature of relationship control exits

Sr. No.	Name of the party	Nature of Relationship
1	Virtual Galaxy Insurance Broker Private Limited	Both Directors are Director in the Company and the Company is holding more than 25.00% shares
2	Pay next Private Limited	Both Directors are Director in the Company and holding 99.75% shares
3	Virtual Galaxy Fintech Private Limited	Both Directors are Director in the Company and holding 100.00% shares
4	Avinash Shende	Key Management Personnel (KMP)
5	Sachin Pande	Key Management Personnel (KMP)
6	Shilpa Shende	Relative of (KMP)
7	Sampada Pande	Relative of (KMP)

VIRTUAL GALAXY INFOTECH PVT. LTD.

B. Transactions with related parties

Sr. No.	Nature of Transactions	For the year ending March 31st, 2024	For the year ending March 31st, 2023
1	Salary to Avinash Shende	49,22,400	40,22,400
2	Salary to Sachin Pande	49,22,400	40,22,400
3	Salary to Shilpa Shende	15,24,300	14,40,200
4	Salary to Sampada Pande	15,24,300	14,40,200
5	Purchase from Paynext Pvt. Ltd.	2,87,36,998	4,34,45,178
6	Purchase from Virtual Galaxy Fintech Pvt. Ltd.	14,84,50,385	9,24,62,894

C. Balance with related parties

Sr. No.	Nature of Transactions	For the year ending March 31st, 2024	For the year ending March 31st, 2023
1	Long Term Creditors - Paynext Pvt. Ltd.	5,10,37,340.00	-
2	Sundry Creditor - Paynext Pvt. Ltd.	1,44,91,243	2,55,69,320
3	Long Term Creditors - Virtual Galaxy Fintech Pvt. Ltd.	2,00,01,234	-
4	Sundry Creditor - Virtual Galaxy Fintech Pvt. Ltd.	2,99,79,376	20,27,298
5	Loan Repayble to Avinash Shende	1,26,21,013	78,00,000
6	Loan Repayable to Sachin Pande	16,33,190	-
7	Investment In equity shares – Virtual Galaxy Insurance Broker Pvt. Ltd.	52,50,000	52,50,000

RKAS & CO. CHARTERED ACCOUNTANTS

2.33 Ageing of Trade Payable

- **For the Year Ended 31st March, 2024**

Sr. No.	Particulars	Outstanding for the following periods from Due Date of payment				Total
		< 1 Year	1-2 Year	2-3 Year	> 3 Year	
1	MSME	-	-	-	-	-
2	Others	10,74,20,310	-	-	-	**10,74,20,310**
3	Disputed Dues - MSME	-	-	-	-	-
4	Disputed Dues - Others	-	-	-	-	-
TOTAL		**10,74,20,310**	-	-	-	**10,74,20,310**

- **For the Year Ended 31st March, 2023**

Sr. No.	Particulars	Outstanding for the following periods from Due Date of payment				Total
		< 1 Year	1-2 Year	2-3 Year	> 3 Year	
1	MSME	-	-	-	-	-
2	Others	9,09,31,503	-	-	-	**9,09,31,503**
3	Disputed Dues - MSME	-	-	-	-	-
4	Disputed Dues - Others	-	-	-	-	-
TOTAL		**9,09,31,503**	-	-	-	**9,09,31,503**

RKAS & CO. CHARTERED ACCOUNTANTS

VIRTUAL GALAXY INFOTECH PVT. LTD.

2.34 Ageing of Trade Receivables (Both-Current & Non-Current)

- **For the Year Ended 31st March, 2024**

Sr. No.	Particulars	Outstanding for following periods from due date of payment					Not Due for Payment as on 31st March 2024	Grand Total (A+B)
		< 6 Months	6 Months - 1 Year	1 - 2 Years	2 - 3 Years	Total (A)		
1	Undisputed Trade Receivables - Considered Good	22,86,94,387	2,16,68,581	-	-	25,03,62,968	-	**25,03,62,968**
2	Undisputed Trade Receivables - Considered Doubtful	-	-	-	-	-	-	-
3	Disputed Trade Receivables - Considered Good	-	-	-	-	-	-	-
4	Disputed Trade Receivables - Considered Doubtful	-	-	-	-	-	-	-
Total		**23,32,74,155**	**2,16,68,581**	-	-	**25,03,62,968**		**25,03,62,968**

- **For the Year Ended 31st March, 2023**

Sr. No.	Particulars	Outstanding for following periods from due date of payment					Not Due for Payment as on 31st March 2023	Grand Total (A+B)
		< 6 Months	6 Months - 1 Year	1 - 2 Years	2 - 3 Years	Total (A)		
1	Undisputed Trade Receivables - Considered Good	22,03,66,388	1,24,11,332	-	-	**23,27,77,720**	-	**23,27,77,720**
2	Undisputed Trade Receivables - Considered Doubtful	-	-	-	-	-	-	-
3	Disputed Trade Receivables - Considered Good	-	-	-	-	-	-	-
4	Disputed Trade Receivables - Considered Doubtful	-	-	-	-	-	-	-
Total		**21,42,39,238**	**1,24,11,332**	-	-	**23,27,77,720**		**23,27,77,720**

2.35 With respect to ageing of the trade payable and trade receivables (Note no. 2.33 & 2.34 above), the accounting software used by the assessee is not configured to generate report as required under this purpose, in absence of any prevailing statutory requirement. In addition, the software/ system does not capture information relating to this compliance. Further, the details as furnished in the ageing tables are solely prepared by the management and we have not been provided with any workings or supporting to verify the same. Accordingly, in the absence of any workings or supporting, we were unable to comment on the accuracy of the information furnished above.

2.36 Capital-Work-in Progress (CWIP)

- **Tangible Asset CWIP aging schedule**

CWIP	Amount in CWIP for a period of				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Tangible CWIP	21,48,82,342	9,00,23,655	-	-	**30,49,05,997**
Total	**21,48,82,342**	**9,00,23,655**	-	-	**30,49,05,997**

- **Intangible Asset CWIP aging schedule**

CWIP	Amount in CWIP for a period of				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Intangible CWIP	7,64,39,948	5,01,08,296	-	-	**12,65,48,244**
Total	**7,64,39,948**	**5,01,08,296**	-	-	**12,65,48,244**

2.37 During the financial year, company has diluted all its holding in its subsidiary SIP Fund Private Limited.

2.38 The Company has not generally called for confirmation from Trade payables, Trade receivables, unsecured loans, Loans and advances, deposit from parties/deposit with the parties etc. Management has however, Confirmed that these accounts are scrutinized and that these are current and are recoverable and payables.

2.39 Amounts in the financial statements are rounded off to rupees in [illegible].

2.40 Previous year's figures have been regrouped / reclassified wherever necessary to correspond with the current year's classification / disclosure under Schedule III of the Companies Act 2013.

RKAS & CO. CHARTERED ACCOUNTANTS

VIRTUAL GALAXY INFOTECH PVT. LTD.
FINANCIAL RATIOS FOR THE YEAR ENDING 31ST MARCH 2024

Sr. No.	Ratio	Numerator CY	Denominator CY	Numerator PY	Denominator PY	Current Period	Previous Period	% Variance	Reason for variance
a)	Current ratio	39,83,93,733	30,14,07,062	30,14,07,062	20,22,97,025	1.32	1.49	(11.29%)	NA
b)	Debt-equity ratio	45,74,35,043	43,56,83,937	43,47,67,929	27,51,69,753	1.05	1.58	(33.55%)	Variance due to Increase in Share holders fund due to increase in profits.
c)	Debt service coverage ratio	30,63,56,440	4,31,59,354	13,19,42,322	2,54,62,549	7.10	5.18	36.98%	Variance due to Increase in Share holders fund due to increase in Profits before tax.
d)	Return on equity ratio	16,05,14,184	43,56,83,937	3,52,03,161	27,51,69,753	0.37	0.13	187.98%	Variance due to Increase in Share holders fund due to increase in Profits before tax.
e)	Inventory turnover ratio	61,46,39,455	9,08,101	58,48,39,949	5,97,382	676.84	979.00	(30.86%)	Variance due to Increase in inventory holding.
f)	Trade receivables turnover ratio	61,46,39,455	24,15,70,344	58,48,39,949	18,44,10,352	2.54	3.17	(19.77%)	NA
g)	Trade payables turnover ratio	20,03,57,331	9,91,75,907	32,20,98,785	6,00,95,349	2.02	5.36	(62.31%)	Variance due to lower payout to trade payable.
h)	Net capital turnover ratio	61,46,39,455	9,69,86,671	58,48,39,949	16,08,08,021	6.34	3.64	74.25%	Variance due to decrease in Net Curren Assets .
i)	Net profit ratio	16,05,14,184	61,46,39,455	3,52,03,161	58,48,39,949	0.26	0.06	333.86%	Variance due to Increase in Share holders fund due to increase in Profits.
j)	Return on capital employed	24,70,88,793	82,20,80,406	7,54,93,965	81,68,12,016	0.30	0.09	225.20%	Variance due to Increase in Share holders fund due to increase in Profits.
k)	Return on investment	16,05,14,184	43,56,83,937	3,52,03,161	27,51,69,753	0.37	0.13	187.98%	Variance due to Increase in Share holders fund due to increase in Profits.

Notes :

a) **For Debt-equity ratio (Total Debt/Shareholder's equity)** : Debt includes long term borrowings and short term borrowings as per note **2.03 & 2.04** respectively and shareholder's equity includes share capital and reserves & surplus as on 31st march 2024.

b) **For Debt service coverage ratio (Earnings available for debt service/Debt Service)** : Earnings Available for Debt service includes Profit before taxes increased by depreciation and Finance cost excluding finance charges and debt service includes Finance cost excluding finance charges and includes principal repayment on loans availed.

c) **For return on equity ratio (Net Profit after taxes/Average shareholder's equity)** : Average shareholder's equity is average of opening and closing of sumation of share capital and reserves & surplus.

d) **For inventory turnover ratio (Sales/Average inventory)** : Sales includes net revenue from operations excluding duty drawback and average inventory is average of opening & closing invetory.

e) **For trade receivables turnover ratio (Sales/Average trade receivables)** : Sales includes net revenue from operations excluding duty drawback and average trade receivables is average of opening and closing trade receivables.

f) **For trade payables turnover ratio (Purchases/Average trade payables)** : Purchases includes purchases during the year as per **note 2.22** and average trade payables is average of opening and closing trade payables.

g) **For net capital turnover ratio (Sales/Average working capital)** : Sales includes net revenue from operations excluding duty drawback and average working capital is current assets less current liabilities.

h) **For return on capital employed (Earnings before interest and taxes/Capital employed)** : Earnings before interest and taxes includes profit before tax increased by finance cost excluding finance charges and capital employed includes share capital & reserves and surplus as increased by debt and deferred tax has been reduced from the derived figure.

i) **For return on investment (Net Profit after taxes/Average shareholder's equity)** : Average shareholder's equity is average of opening and closing of sumation of share capital and reserves & surplus.

VIRTUAL GALAXY INFOTECH PRIVATE LIMITED

CONSOLIDATED AUDITED FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR 2023-2024

AUDITED BY:

RKAS & CO.

CHARTERED ACCOUNTANTS

INDEPENDENT AUDITOR'S REPORT

TO THE MEMBERS OF VIRTUAL GALAXY INFOTECH PRIVATE LIMITED

Report on the Audit of the Consolidated Financial Statements

Opinion

We have audited the accompanying consolidated financial statements of **Virtual Galaxy Infotech Pvt. Ltd.**(hereinafter referred to as "the Holding Company") and its subsidiaries (the Holding Company and its subsidiaries together referred to as "the Group")comprising of the Consolidated Balance Sheet as at 31st March, 2024, the Consolidated Statement of Profit and Loss, Consolidated Cash Flow Statement and a summary of the significant accounting policies and other explanatory information (hereinafter referred to as "the consolidated financial statements").

In our opinion and to the best of our information and according to the explanations given to us and based on the consideration of the reports of the other auditors on separate financial statements and on the other financial information of the subsidiary, the aforesaid consolidated financial statements give the information required by the Companies Act, 2013 ('Act') in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India of the consolidated state of affairs of the Group, as at 31st March 2024, and their consolidated Profit (including other comprehensive income), consolidated cash flows and the consolidated changes in equity for the year ended on that date.

Basis for Opinion

We conducted our audit in accordance with the Standards on Auditing specified under section 143(10) of the Act. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India ('ICAI') together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Act and the rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained and the audit evidence obtained by the other auditors in terms of their reports referred to in paragraph 16 of the Other Matter section below, is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment and based on the consideration of the reports of the other auditors on separate financial statements and on the other financial information of the subsidiaries, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Information other than the Consolidated Financial Statements and Auditor's Report thereon

The Holding Company's Board of Directors are responsible for the other information. The other information comprises the information included in the Annual Report, but does not include the consolidated financial statements and our auditor's report thereon.

Our opinion on the consolidated financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

The accompanying consolidated financial statements have been approved by the Holding Company's Board of Directors. The Holding Company's Board of Directors is responsible for the matters stated in section 134(5) of the Act with respect to the preparation of these consolidated financial statements that give a true and fair view of the consolidated financial position, consolidated financial performance including other comprehensive income, consolidated changes in equity and consolidated cash flows of the Group in accordance with the accounting principles generally accepted in India, including the Ind AS specified under section 133 of the Act. The respective Board of Directors / management of the companies included in the Group are responsible for maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the consolidated financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error, which have been used for the purpose of preparation of the consolidated financial statements by the Directors of the Holding Company, as aforesaid.

In preparing the consolidated financial statements, the respective Board of Directors of the companies included in the Group are responsible for assessing the ability of the Group to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Board of Directors either intend to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

The Board of Directors of the companies included in the group are also responsible for overseeing the financial reporting process of the respective companies included in the Group.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with Standards on Auditing, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control;

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Holding Company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management;

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ability of the Group to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern; and

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

- Obtain sufficient appropriate audit evidence regarding the financial information of the entities within the Group, to express an opinion on the financial statements. We are responsible for the direction, supervision and performance of the audit of financial statements of such entities included in the financial statements, of which we are the independent auditors. For the other entities included in the financial statements, which have been audited by the other auditors, such other auditors remain responsible for the direction, supervision and performance of the audits carried out by them. We remain solely responsible for our audit opinion.

- We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

- We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

- From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Other Matters

We did not audit the financial statements of **Virtual Galaxy Insurance Brokers Private Limited**, subsidiaries, whose financial statements / financial information reflects total assets **Rs.1,57,26,717** respectively as at 31st March, 2024, and total revenues of **Rs. 2,04,05,688 respectively** as considered in the consolidated financial statements. These financial statements / financial information have been audited by other auditors whose reports have been furnished to us by the Management and our opinion on the consolidated financial statements, in so far as it relates to the amounts and disclosures included in respect of these subsidiaries, jointly controlled entities and associates, and our report in terms of sub-sections (3) and(11) of Section 143 of the Act, insofar as it relates to the aforesaid subsidiaries, jointly controlled entities and associates, is based solely on the reports of the other auditors.

Our opinion on the consolidated financial statements, and our report on Other Legal and Regulatory Requirements below, is not modified in respect of the above matters with respect to our reliance on the work done and the reports of the other auditors and the financial statements / financial information certified by the Management.

Report on Other Legal and Regulatory Requirements

As required by Section143 (3) of the Act, we report, to the extent applicable, that:

(a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit of the aforesaid consolidated financial statements.

(b) In our opinion, proper books of account as required by law relating to preparation of the aforesaid consolidated financial statements have been kept so far as it appears from our examination of those books and the reports of the other auditors.

(c) The Consolidated Balance Sheet, the Consolidated Statement of Profit and Loss, and the Consolidated Cash Flow Statement dealt with by this Report are in agreement with the relevant books of account maintained for the purpose of preparation of the consolidated financial statements.

(d) In our opinion, the aforesaid consolidated financial statements comply with the Accounting Standards specified under Section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014.

(e) On the basis of the written representations received from the directors of the Holding Company as on 31st March, 2024 taken on record by the Board of Directors of the Holding Company and the reports of the statutory auditors of its subsidiary companies, associate companies and jointly controlled companies incorporated in India, none of the directors of the Group companies, its associate companies and jointly controlled companies incorporated in India is disqualified as on 31st March, 2024 from being appointed as a director in terms of Section 164 (2) of the Act.

(f) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditor's) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:

i. There were no pending litigations which would impact the consolidated financial position of the Group, its associates and jointly controlled entities.

ii. The Group, its associates and jointly controlled entities did not have any material foreseeable losses on long-term contracts including derivative contracts.

iii. There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Holding Company, and its subsidiary companies, associate companies and jointly controlled companies incorporated in India.

Ashish Shahu
Partner
Membership No. 150960
For and on Behalf of
RKAS & CO
Chartered Accountants
FRN no. 135727W
UDIN: 24150960BKHABC5323
Dated the
22nd July, 2024

"ANNEXURE B" TO THE INDEPENDENT AUDITOR'S REPORT OF EVEN DATE ON THE STANDALONE FINANCIAL STATEMENTS OF VIRTUAL GALAXY INFOTECH PRIVATE LIMITED

Report on the Internal Financial Controls under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ("the Act")

We have audited the internal financial controls over financial reporting of **M/s. Virtual Galaxy Infotech Private Limited** as of 31st March, 2024 in conjunction with our audit of the consolidated financial statements of the Company for the year ended on that date.

Management's Responsibility for Internal Financial Controls

The Company's management is responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India. These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditors' Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls over financial reporting based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the "Guidance Note") and the Standards on Auditing, issued by ICAI and deemed to be prescribed under section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls, both applicable to an audit of Internal Financial Controls and, both issued by the Institute of Chartered Accountants of India. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system over financial reporting and their operating effectiveness. Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on

RKAS & CO. CHARTERED ACCOUNTANTS

the auditor's judgement, including the assessment of the risks of material misstatement of the Standalone financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls system over financial reporting.

Meaning of Internal Financial Controls over Financial Reporting

A company's internal financial control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of Standalone financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control over financial reporting includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of Standalone financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the company's assets that could have a material effect on the Standalone financial statements.

Inherent Limitations of Internal Financial Controls over Financial Reporting

Because of the inherent limitations of internal financial controls over financial reporting, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting to future periods are subject to the risk that the internal financial control over financial reporting may become inadequate because of changes in conditions, or that the dėgree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion, the Company has, in all material respects, an adequate internal financial controls system over financial reporting and such internal financial controls over financial reporting were operating effectively as at 31st March, 2024, based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India.

ASHISH SHAHU
Partner
Membership No. 150960
For and on Behalf of
RKAS & Co.
Chartered Accountants
FRN. 135727W
UDIN: **24150960BKHABC5323**
Nagpur, dated the
22nd of July 2024

RKAS & CO. CHARTERED ACCOUNTANTS

VIRTUAL GALAXY INFOTECH PVT. LTD.
Consolidated Balance Sheet as on 31st March 2024

PARTICULARS		Note No.	(Fig in ₹) 31st March 2024	(Fig in ₹) 31st March 2023
I.	**EQUITY AND LIABILITIES :**			
1	**SHAREHOLDERS' FUNDS**			
	Share Capital	2.01	11,00,01,600	11,00,01,600
	Reserves and Surplus	2.02	32,80,19,133	12,04,02,032
	Share Premium		-	97,66,680
	Sub-total		**43,80,20,733**	**24,01,70,312**
	Share Application Money Pending Allotment		42,85,010	-
	Minority Interest		22,50,000	23,50,002
3	**NON-CURRENT LIABILITIES**			
	Long-Term Borrowings	2.03	34,15,25,079	34,91,55,694
	Other Long-Term Liabilities	2.04	7,10,38,574	5,36,39,850
	Long Term Provisions	2.05	51,07,345	-
	Sub-total		**41,76,70,998**	**40,27,95,544**
4	**CURRENT LIABILITIES**			
	Short-Term Borrowings	2.06	4,48,71,390	3,93,54,795
	Trade Payable	2.07	10,78,58,599	9,24,23,770
	Other Current Liabilities	2.08	9,18,37,497	6,32,01,384
	Short-Term Provisions	2.09	6,26,05,258	1,36,42,000
	Sub-total		**30,71,72,744**	**20,86,21,949**
	TOTAL EQUITIES AND LIABILITIES		**1,16,93,99,485**	**85,39,37,807**
II.	**ASSETS:**			
1	**NON-CURRENT ASSETS**			
	Property, Plant & Equipment			
	Tangible Assets	2.10	18,90,51,686	47,27,43,626
	Goodwill			97,66,682
	Tangible Asset Under Development - WIP	2.10	30,49,05,997	-
	Intangible Assets	2.10	11,85,85,530	1,61,12,396
	Intangible Asset under Development - WIP	2.10	12,65,48,244	-
	Sub-total		**73,90,91,457**	**49,86,22,704**
	Non Current Investments	2.11	-	-
	Deferred tax Assets (Net)	2.12	1,32,212	6,04,048
	Long Term Loans and Advances	2.13	13,33,627	-
	Other Non Current Assets	2.14	2,06,14,510	6,08,400
	Sub-total		**2,20,80,349**	**12,12,448**
2	**CURRENT ASSETS**			
	Current Investments		-	-
	Inventories	2.15	10,76,618	7,39,584
	Trade Receivables	2.16	25,34,67,605	23,34,43,024
	Cash and Cash Equivalents	2.17	2,54,68,478	2,96,59,129
	Short-Term Loans and Advances	2.18	9,76,29,012	7,19,79,071
	Other Current Assets	2.19	3,05,85,966	1,82,81,847
	Sub-total		**40,82,27,679**	**35,41,02,655**
	TOTAL ASSETS		**1,16,93,99,485**	**85,39,37,807**
	Significant Accounting policies	1.00		

The notes referred to above form an integral part of the Financial Statements.
As per our Report Attached of even date.

Ashish Shahu
Partner
Membership No. 150960
For and on behalf of
RKAS & Co.
Chartered Accountants
FRN: 135727W

Nagpur, dated the
22nd July, 2024
UDIN: 24150960BKHABC5323

RKAS & CO. CHARTERED ACCOUNTANTS

For VIRTUAL GALAXY INFOTECH PVT. LTD.

A. N. Shende
Director
DIN- 02179381

S.P. Pande
Director
DIN- 02181154

A. V. Padhye
COMPANY SECRETARY

VIRTUAL GALAXY INFOTECH PVT. LTD.
Consolidated Profit and Loss for the year ended 31st March 2024

	PARTICULARS	Note No.	(Fig in ₹) 31st March 2024	(Fig in ₹) 31st March 2023
I.	Revenue from operations	2.20	63,50,45,143	59,68,03,209
II.	Other income	2.21	7,21,241	8,43,621
III.	Total Income (I + II)		**63,57,66,384**	**59,76,46,830**
IV.	**LESS : EXPENDITURE**			
	Cost of Material Consumed	2.22	20,03,57,331	32,20,98,783
	Changes in inventories of stock-in-trade	2.23	(3,37,034)	(2,84,404)
	Employee benefit expenses	2.24	8,16,87,751	11,13,01,500
	Finance costs	2.25	2,47,58,835	2,70,86,166
	Depreciation and amortization expenses	2.26	6,00,45,823	6,03,17,627
	Other Expenses	2.27	4,34,37,881	4,39,62,087
	Total Expenses		**40,99,50,587**	**56,44,81,759**
V.	Profit before exceptional and extraordinary items and tax		**22,58,15,797**	**3,31,65,071**
VI.	Exceptional items		-	-
VII.	Profit before extraordinary items and tax (V - VI)		**22,58,15,797**	**3,31,65,071**
VIII.	Extraordinary items		-	-
IX.	Profit before tax (VII - VIII)		**22,58,15,797**	**3,31,65,071**
X.	Tax expense :			
	a) Current tax expenses		**6,20,08,478**	**1,36,42,000**
	b) Current tax relating to prior years (net)		-	-
	c) Deferred tax charge/(credit)	2.12	(99,730)	(2,46,785)
	Net tax expenses/(benefit)		6,19,08,748	1,33,95,215
XI.	Profit / (Loss) for the period from continuing operations (IX-X)		**16,39,07,049**	**1,97,69,856**
XII.	Profit / (loss) for the period (XI + XIV)		**16,39,07,049**	**1,97,69,856**
XIII.	Earning per equity share :	2.31	**14.90**	**1.80**

As per our Report Attached of even date.

Ashish Shahu
Partner
Membership No. 150960
For and on behalf of
RKAS & Co.
Chartered Accountants
FRN: 135727W

RKAS & CO. CHARTERED ACCOUNTANTS

Nagpur, dated the
22nd July, 2024
UDIN: 24150960BKHABC5323

For VIRTUAL GALAXY INFOTECH PVT. LTD.

A. N. Shende
Director
DIN- 02179381

S.P. Pande
Director
DIN- 02181154

A. V. Padhye
COMPANY SECRETARY

VIRTUAL GALAXY INFOTECH PVT. LTD.
CONSOLIDATED CASH FLOW STATEMENT AS ON 31ST MARCH 2024

(Fig in ₹)

Sr.No	Particulars	As at 31st March 2024	As at 31st March 2023
		Amount (Rs.)	Amount (Rs.)
1	**Cash Flow Operating activities**		
	(a) Net Profit/ (Loss) before exceptional items and taxes	22,58,15,797	3,31,65,071
	Adjustments :		
	Depreciation & amortization	6,00,45,823	6,03,17,627
	Interest and Finance costs	2,47,58,835	2,70,86,166
	Interest income	(4,78,589)	(4,46,745)
	(Profit)/Loss on Sale of Fixed Assets	-	-
	Operating Profit before Working Capital changes	**31,01,41,866**	**12,01,22,119**
	(b) Working capital changes :		
	- (Increase)/Decrease in Inventories	(3,37,034)	(2,84,404)
	- (Increase)/Decrease in Trade Receivables	(2,00,24,581)	(11,16,84,110)
	- (Increase)/Decrease in Short Term Loans & Advances	2,56,49,941	(1,08,45,262)
	- Increase/(Decrease) in Trade Payables	1,54,34,829	6,16,64,465
	- Increase/(Decrease) in Other Current Liabilities	2,86,36,113	32,18,147
	- (Increase)/Decrease in Other Current Assets	(1,23,04,119)	(17,98,438)
	- Increase/(Decrease) in Long Term Liabilities	(76,30,615)	6,27,13,497
	- Increase/(Decrease) in Other Long Term Liabilities	1,73,98,724	5,27,74,490
	- Increase/(Decrease) in Short Term Borrowings	55,16,595	(3,92,60,968)
	- Increase/(Decrease) in Short Term Provisions	5,35,42,827	49,72,000
	- (Increase)/Decrease in Long Term Loans & Advances	(13,33,627)	22,980
	- Increase/(Decrease) in Long Term Provisions	51,07,345	-
	Net cash from Operating Activities	**41,97,98,264**	**14,16,14,516**
	Less: Tax Paid	(6,20,08,478)	(1,33,95,215)
	Net cash from Operating Activities	**35,77,89,786**	**12,82,19,301**
2	**Cash Flow from Investing Activities**		
	(a) Increase in Fixed Assets	(32,19,79,091)	(9,30,34,558)
	(b) (Increase)/Decrease in Other Non-current assets	(2,00,06,110)	(64,79,089)
	(c) (Increase)/Decrease in Other Non-current Investments	-	-
	(d) Interest Received	4,78,589	4,46,745
	(e) (Increase)/Decrease in Other Current Investments	-	(62,55,284)
	Net cash from Investing Activities	**(34,15,06,612)**	**(10,53,22,186)**
3	**Cash Flow from Financing Activities**		
	(a) Increase/(Decrease) in Long Term Borrowings	-	-
	(b) Increase/(Decrease) in Share Application Money Pending Allotment	42,85,010	-
	(c) Interest and other Finance costs	(2,47,58,835)	(2,70,86,166)
	Net cash from Financing Activities	**(2,04,73,825)**	**-**
	Net increase/(decrease) in cash and cash equivalents	**(41,90,651)**	**2,28,97,115**
	Add : Cash and cash equivalents at the beginning of the period	2,96,59,129	67,62,014
	Cash and cash equivalents at the end of the period	**2,54,68,478**	**2,96,59,129**

NOTES

1 . The above statement has been prepared following Indirect Method as per AS - 3.
2 . Proceeds of long term and other borrowings are shown net of repayments.
3 . Cash and Cash Equivalents represent Cash, Fixed deposits and Bank Balances only.

Ashish Shahu
Partner
Membership No. 150960
For and on behalf of
RKAS & Co.
Chartered Accountants
FRN: 135727W

RKAS & CO. CHARTERED ACCOUNTANTS

Nagpur, dated the
22nd July, 2024
UDIN: 24150960BKHABC5323

For VIRTUAL GALAXY INFOTECH PVT. LTD.

A. N. Shende
Director
DIN- 02179381

S. P. Pande
Director
DIN- 02181154

A. V. Padhye
COMPANY SECRETARY

Note 1

Notes forming part of consolidated financial statements for the year ended March 31st, 2024

COMPANY INFORMATION

Holding Company

M/s. Virtual Galaxy Infotech Private Limited

Subsidiary Company

M/s. Virtual Galaxy Insurance Brokers Private Limited

SIGNIFICANT ACCOUNTING POLICIES:

NOTE I: Accounting policies adopted by the Company

Basis of preparation of financial statements

These Consolidated financial statements are prepared in accordance with Indian Generally Accepted Accounting Principles (GAAP) under the historical cost convention on accrual basis except for certain financial instrument which are measured at fair values. GAAP comprises mandatory accounting standards as prescribed under section 133 of the Companies Act 2013 (the Act) read with Rule 7 of the Companies (Accounts) Rules, 2014, the provisions of the Act(to extent notified). Accounting policies have been consistently applied except where a newly issued accounting standard is initially adopted or a revision to an existing accounting standard requires change in the accounting policy hitherto in use.

Presentation of financial statements

The Balance sheet and the statement of Profit and loss are prepared in the format prescribed in the Schedule III of the Companies Act 2013. The Cash Flow statement has been prepared and presented as per the requirements of Accounting Standard (AS) 3 "Cash Flow Statements". The disclosure requirements with respect to items in the Balance Sheet and Statement of Profit and Loss, as prescribed in the Schedule III to the Act, are presented by way of notes forming part of accounts along with the other notes required by the notified Accounting Standards.

Use of Estimates

The preparation of the consolidated financial statements in conformity with Indian GAAP requires the Management to make estimates and assumptions considered in the reported amounts of assets and liabilities (including contingent liabilities) and the reported income and expenses during the year.

The Management believes that these estimates are prudent, reasonable and are based upon the Management's best knowledge of current events and actions. Actual results could differ from these estimates and differences between actual results and estimates are recognized in the periods in which the results are known or materialized.

Estimates and underlying assumptions are reviewed on a ongoing basis. Revisions to accounting estimates are recognized in and from the period in which the estimate gets revised.

This note provides an overview of the areas that involve a higher degree of judgment or complexity and of items which are more likely to be materially adjusted due to estimates and assumptions turning out to be different than those originally assessed.

The following significant accounting policies are adopted in the preparation of these financial statements:

1. **Revenue recognition**
   (a) Sales are recognized when goods are supplied and are recorded net of discounts. Sales revenues are presented net of value added taxes in the statements of profit and loss.
   (b) Income from other receipts is recognized on its completion and on its acceptance by the customers.
   (c) Dividend income is accounted for in the year in which the right to receive the same is established.
   (d) Interest income is recognized using the time proportion method, based on rates implicit in the transaction.

2. **Fixed Assets**

   Tangible assets shown under gross block are valued at cost of acquisition inclusive of inward freight, duties, taxes and other incidental expenses related to its acquisition. All such direct costs are capitalized when the tangible assets are ready for use. Management has capitalized the cost of software development incurred on V-Pay. In fixed Asset it is shown under software development of V-Pay.

3. Foreign currency transactions and translations

Transactions in foreign currencies entered into by the Company are accounted at the exchange rates prevailing on the date of the transaction or at rates that closely approximate the rate at the date of the transaction. Monetary assets and liabilities denominated in foreign currency are restated at the exchange rate prevalent on the Balance Sheet date and gain/ loss on such restatement is charged to the Statement of Profit and Loss.

4. Depreciation and amortization

(a) Depreciation on tangible assets has been calculated in accordance with the Schedule II of the Companies Act,2013 as under:

(i) All assets on written down value basis.

(ii) Management has not charged the depreciation to the Software Development called V – Pay, since it is in developing stage.

5. Impairment of assets

An impairment loss if any is charged to the statement of profit and loss in the year in which an asset is identified as impaired.

6. Investments

Valued at cost, exclusive of dividend/interest reinvested thereon.

7. Inventories

Trading and other goods are valued at cost or net realizable value, whichever is lower.

8. Earnings per Share

Basic earnings per share is computed by dividing the profit / (loss) after tax (including the post-tax effect of extraordinary items, if any) by the weighted average number of equity shares outstanding during the year

9. Taxes on Income

Income Taxes are accounted for in accordance with Accounting Standard 22 on "Accounting for Taxes on Income", (AS 22) issued by The Institute of Chartered Accountants of India. Tax expense comprises both current tax and deferred tax. Current tax is measured at the amount expected to be paid or recovered from the tax authorities using the applicable tax rates. Deferred tax assets and liabilities are recognized for future tax consequence attributable to timing difference between taxable income and accounting income that are measure at relevant enacted tax rates. At each Balance sheet date the company reassesses unrealized deferred tax assets, to the extent they become reasonably certain or virtually certain of realization, as the case may be.

10. Provisions and contingent liabilities

Based on the estimates of the management, provisions are determined of the outflow of economic benefits which are required to settle the obligation as at the reporting date. Where no realizable estimate can be made, disclosure is made as contingent liability. A disclosure for a contingent liability is also made when there is a possible obligation that may, but probably will not, require an outflow of the Company's resources.

11. Cash flow statement

Cash flows are reported using the indirect method, whereby profit before tax is adjusted for the effects of transactions of non-cash nature, any deferrals or accruals of past or future operating cash receipts or payments and item of income or expenses associated with investing or financing cash flows. Cash flows from operating, investing and financing activities of the Company are segregated, accordingly.

Note 2: Notes on accounts as per revised schedule VI

SHARE HOLDERS FUND

The Company has only one class of shares, referred to as equity shares having a par value of ₹ 10/- per share Each holder of equity shares is entitled to one vote per share. The right of the shareholders is governed by the Articles and Association and the Companies Act.

2.01 SHARE CAPITAL

A.

(Fig in ₹)

PARTICULARS	31st March 2024	31st March 2024
AUTHORISED CAPITAL :		
2,50,00,000 Equity Shares of ₹ 10/- each	25,10,00,000	15,00,00,000
ISSUED, SUBSCRIBED & PAID UP CAPITAL :		
1,10,00,160 Equity Shares of ₹ 10/- each	11,00,01,600	11,00,01,600
	11,00,01,600	**11,00,01,600**

B Details of Share Holding of more than 5% shares are set out below

Name of shareholder	No. of share held	No. of share held
Avinash N. Shende	51,00,000	51,00,000
% of Share holding	46.36%	46.36%
Sachin P. Pande	51,00,000	51,00,000
% of Share holding	46.36%	46.36%

Note No. 2.1 (a) The Reconciliation of the No. of Shares outstanding at the beginning and at the end of the period

Particulars	Figures as at the end of the previous reporting period	Figures as at the end of the previous reporting period
Equity Shares:		
Shares outstanding at the beginning of the year	1,10,00,160.00	1,10,00,160.00
Shares Issued during the year	-	-
Shares bought back during the year	-	-
Shares outstanding at the end of the year	1,10,00,160.00	1,10,00,160.00

Note No. 2.1 (b) The share holding of the Promoters

Name of shareholder	No. of share held	No. of share held
Avinash N. Shende	51,00,000	51,00,000
% of Share holding	46.36%	46.36%
% Change during the year	0.00%	0.00%
Sachin P. Pande	51,00,000	51,00,000
% of Share holding	46.36%	46.36%
% Change during the year	0.00%	0.00%

2.02 RESERVES AND SURPLUS

PARTICULARS	31st March 2024	31st March 2023
Retained Earnings		
Opening Balance	16,41,12,084	10,06,32,176
Add: Profit for the year	16,39,07,049	1,97,69,856
Less: Transfer to reserve, if any	-	-
Closing Balance	**32,80,19,133**	**12,04,02,032**
Total	**32,80,19,133**	**12,04,02,032**

RKAS & CO. CHARTERED ACCOUNTANTS

2.03 LONG TERM BORROWINGS

(Fig in ₹)

PARTICULARS	31st March 2024	31st March 2023
Secured		
Term Loans		
From Banks	12,20,80,370	12,65,41,191
Loans From Related Parties	1,42,54,203	1,38,99,408
Other Loans and Advances Payable	15,06,86,790	20,16,31,385
Unsecured		
Term Loans		
From Banks - Unsecured	8,48,965	58,00,710
From Other Parties - Unsecured	5,36,54,751	12,83,000
Total	**34,15,25,079**	**34,91,55,694**

Details of Long Terms Loans from Bank availed by company are stated as under:
Long term loans are from Bank of Maharashtra, Shankar Nagar Nagpur, Branch are secured by way of Property Held by Both Directors of the Company and Hypothecation of all fixed asset as appering in the balance sheet of the company.

2.04 OTHER LONG TERM LIABILITIES:

PARTICULARS	31st March 2024	31st March 2023
Creditors for Fixed Assets*	7,10,38,574	5,36,39,850
Total	**7,10,38,574**	**5,36,39,850**

*** Creditor for fixed asset contains amounts payable to parties for Software developments.**

2.05 LONG TERM PROVISIONS:

PARTICULARS	31st March 2024	31st March 2023
Provision for Employee Benefits	51,07,345	-
Total	**51,07,345**	**-**

2.06 SHORT TERM BORROWINGS:

PARTICULARS	31st March 2024	31st March 2023
Secured		
Loan Payable on Demand		
From Banks - Short Terrm	4,36,21,390	3,93,54,795
From Other Parties - Short Term	12,50,000	-
From Related Parties - Short Term	-	-
Total	**4,48,71,390**	**3,93,54,795**

Details of Cash Credit (Secured- Short Term) availed from bank.
1)Working capital loan is availed from Bank of Maharashtra, Shankar Nagar Nagpur Branch of ₹ 4 crores secured against the Hypothecation of Stocks and Receivables and collaterally secured by way of equitable mortgage on the properties held by both the directors of the company.
2) OD facility availed from Pusad Urban Credit Co-opertaive Bank, secured against Fixed Deposit.

2.07 TRADE PAYABLES

PARTICULARS	31st March 2024	31st March 2023
Trade Payable - MSME	-	-
Trade Payable - Others	10,78,58,599	9,24,23,770
Trade Payable - Disputed MSME	-	-
Trade Payable - Disputed Other	-	-
Total	**10,78,58,599**	**9,24,23,770**

2.08 OTHER CURRENT LIABILITIES:

(Fig in ₹)

PARTICULARS	31st March 2024	31st March 2023
Interest accrued and due	1,08,000	16,077
Statutory Dues Payable	4,10,22,083	2,83,52,310
Advance from Customer	1,78,70,249	1,15,55,356
Audit Fees Payable	1,80,000	90,000
Rent Payable	1,41,259	1,26,259
Employees Payable	3,22,47,906	2,30,61,382
Other Expenses Payable	2,68,000	-
	9,18,37,497	**6,32,01,384**

2.09 SHORT TERM PROVISIONS:

PARTICULARS	31st March 2024	31st March 2023
Provision for Employee Benefits - Short Term	5,96,780	-
Provision for Taxation	6,20,08,478	1,36,42,000
Total	**6,26,05,258**	**1,36,42,000**

2.11 NON CURRENT INVESTMENTS

PARTICULARS	31st March 2024	31st March 2023
Investments in Equity Instruments	-	-
Total	-	-

2.12 DEFERRED TAX LIABILITY / (ASSETS)

PARTICULARS	31st March 2024	31st March 2023
Deferred Tax Asset / Liability		
Depreciation as per Companies Act	6,00,45,823	-
Depreciation as per Income Tax Act	5,96,32,598	-
Difference in WDV	4,13,225	-
Deffered Tax Asset / Liability	**99,730**	-
Expenses of Current Year Disallowed as per IT	-	-
Total DTL	-	-
Expenses of Prior Period allowed in Current Year as per IT	-	-
	-	-
Deffered Tax Asset / (Liability)	**99,730**	-
Net Deferred Tax Liability (DTL) at the beginning of the year	32,482	-
Net	99,730	2,46,785
Net Deferred Tax (Asset)/Liability as at Balance Sheet date	**1,32,212**	**6,04,048**

RKAS & CO. CHARTERED ACCOUNTANTS

2.13 LONG TERM LOANS AND ADVANCES

(Fig in ₹)

PARTICULARS	31st March 2024	31st March 2023
Unsecured, considered good		
Loans and Advances to Related Parties	-	-
Loans and Advances from Others	13,33,627	-
Total	**13,33,627**	**-**

2.14 OTHER NON-CURRENT ASSETS

PARTICULARS	31st March 2024	31st March 2023
Security Deposits	2,06,14,510	6,08,400
Total	**2,06,14,510**	**6,08,400**

2.15 INVENTORIES :

PARTICULARS	31st March 2024	31st March 2023
Finished Goods	10,76,618	7,39,584
Total	**10,76,618**	**7,39,584**

2.16 TRADE RECEIVABLES:

PARTICULARS	31st March 2024	31st March 2023
Trade Receivables outstanding for a period exceeding six months from the date they were due for payment		
Unsecured : Considered Good More than 6 Months	2,16,68,581	1,24,12,006
Other trade receivables		
Unsecured : Considered Good Less than 6 Months	23,17,99,024	22,10,31,018
Total	**25,34,67,605**	**23,34,43,024**

2.17 CASH AND CASH EQUIVALENTS:

PARTICULARS	31st March 2024	31st March 2023
Cash In Hand	14,113	51,346
With Banks in Current Accounts	38,37,514	98,99,922
Bank deposits Maturity More than 12 Months	2,16,16,851	1,97,07,861
Total	**2,54,68,478**	**2,96,59,129**

2.18 SHORT TERM LOANS AND ADVANCES:

PARTICULARS	31st March 2024	31st March 2023
Unsecured Considered Good		
Others		
Advance to Creditors	2,77,17,390	1,00,67,846
Employee Advances	1,19,40,068	68,80,529
Loans and Advances to Related Parties	-	3,36,26,886
Loans and Advances from Others	5,79,71,554	2,14,03,810
Total	**9,76,29,012**	**7,19,79,071**

2.19 OTHER CURRENT ASSETS:

PARTICULARS	31st March 2024	31st March 2023
Balance With Statutory Authorities	3,05,85,966	1,82,81,847
Total	**3,05,85,966**	**1,82,81,847**

R K A & CO. CHARTERED ACCOUNTANTS

2.20 REVENUE FROM OPERATIONS:

(Fig in ₹)

PARTICULARS	31st March 2024	31st March 2023
Sales of Goods and Services	59,00,91,325	48,86,63,777
Export Revenue	4,49,53,818	10,81,39,432
Total	**63,50,45,143**	**59,68,03,209**

2.21 OTHER INCOME :

PARTICULARS	31st March 2024	31st March 2023
Other Income	-	3,96,876
Interest Received	4,78,589	4,46,745
Profit on Sale of Shares	33,600	-
Foreign Exchange Gain / Loss	2,09,052	-
Total	**7,21,241**	**8,43,621**

2.22 COST OF MATERIAL CONSUMED

PARTICULARS	31st March 2024	31st March 2023
Material Consumed		
Opening Stock Material	-	-
Purchase Of Material	20,03,57,331	32,20,98,783
Closing Stock Of Material	-	-
Total	**20,03,57,331**	**32,20,98,783**

2.23 CHANGES IN INVENTORIES OF STOCK IN TRADE:

PARTICULARS	31st March 2024	31st March 2023
Closing Stock at the end of the year	10,76,618	7,39,584
Less : Opening Stock at the beginning of the year	7,39,584	4,55,180
Total	**(3,37,034)**	**(2,84,404)**

2.24 EMPLOYEE BENEFITS EXPENSES :

PARTICULARS	31st March 2024	31st March 2023
Salaries,allowances and other benefits	7,40,30,804	10,80,45,799
Contribution to Provident and other Funds	76,56,947	32,55,701
Total	**8,16,87,751**	**11,13,01,500**

2.25 FINANCE COSTS:

PARTICULARS	31st March 2024	31st March 2023
Finance Cost	2,16,87,122	2,67,12,551
Other Borrowing Cost	30,71,713	3,73,615
Total	**2,47,58,835**	**2,70,86,166**

2.26 DEPRECIATION AND AMORTISATION

(Fig in ₹)

PARTICULARS	31st March 2024	31st March 2023
Depreciations	6,00,45,823	6,03,17,627
Amortisations	-	-
Total	**6,00,45,823**	**6,03,17,627**

2.27 OTHER EXPENSES:

PARTICULARS	31st March 2024	31st March 2023
Direct Expenses		
ATM Service Charges	12,36,572	-
Data Entry Charges	14,50,000	8,85,758
Domain Renewal Client	72,839	-
Technical Charges Paid	96,36,363	63,70,231
Site Development Expenses	6,29,080	32,44,250
SMS Services	16,09,615	-
Total	1,46,34,469	1,05,00,239
Indirect Expenses		
Business Promotion Expenses	28,40,631	59,48,757
Electricity Exp.	29,13,252	32,84,704
Indirect Taxes	3,58,112	-
Insurance Expenses	38,090	-
Internet Expenses	29,59,214	-
Legal & Professional Charges	50,08,700	38,75,635
Licence and Certifications	1,70,280	51,362
Office Expenses	34,80,826	39,69,161
Postage & Courier	4,14,064	-
Printing and Stationery	1,37,138	5,94,641
Penalties and Charges	1,79,589	5,81,495
Rent Expenses	17,38,000	17,03,720
Repair & Maintenance Expenses.	2,62,290	10,96,379
ROC and Secretarial Expenses	1,80,500	4,80,650
Security Service Charges	43,896	1,30,696
Telephone Exp	-	32,21,467
Travelling & Conveyance Exp	78,49,293	78,56,130
Transportation Expenses	49,537	5,77,051
Auditor Remuneration		
a) Audit Fees	1,80,000	90,000
b) Taxation Matters	-	-
c) Company Law Matters	-	-
	2,88,03,412	3,34,61,848
Total	**4,34,37,881**	**4,39,62,087**

2.28 CONFIRMATION OF BALANCES

The Company has not generally called for confirmation from trade payables,trade receivables, unsecured loans,loans and advances,deposit from parties/deposit with the parties etc. Management has however,confirmed that these accounts are scrutinised and that these are current and are recoverable and payables.

2.29 DISCLOSURE UNDER MICRO, SMALL AND MEDIUM ENTERPRISES DEVELOPMENT ACT, 2006

The Company has not received any information from its vendors regarding their status under Micro, Small and Medium Enterprises Develeopment Act, 2006. Nonetheless, there are no amounts for a period beyond the stipulated period as specified under the said Act.

2.30 PREVIOUS YEARS FIGURES

Previous year's figures have been regrouped / reclassified wherever necessary to correspond with the current year's classification / disclosure under Schedule III of the Companies Act 2013.

R KAS & CO. CHARTERED ACCOUNTANTS